The Real Effects of Bankruptcy Forum Shopping

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Abstract

Many non-Delaware firms strategically file for bankruptcy in Delaware. Should this "forum shopping" be allowed? This question has motivated nine proposed congressional bills over decades of policy debate. Using a novel natural experiment and Census-Bureau microdata, we inform this debate. Comparing similar firms within a Delaware-adjacent state, we show that proximity to Delaware predicts forum shopping. Instrumenting with proximity, we find that forum shopping causally: (i) prevents closures and liquidations, (ii) shortens bankruptcies, (iii) boosts creditor recovery, and (iv) increases post-bankruptcy employment by 24.8%. Proximity to Delaware is uncorrelated with growth for not-yet-bankrupt or never-bankrupt firms, validating the exclusion restriction.

Keyword: corporate bankruptcy, law and finance, forum shopping, venue selection, financial distress

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Firms and their investors rely on courts and legal institutions to enforce property rights. Consequently, legal institutions play a central role in promoting firm growth (Acemoglu, Johnson, and Robinson, 2001).[1] Because these institutions matter, managers select into favorable legal environments across a wide range of settings. Firms steer patent disputes to favorable courts (Anderson, 2014; Galasso and Schankerman, 2015), incorporate in corporate-friendly states (Daines, 2001), opt into U.S. securities law via cross-listing (Reese Jr and Weisbach, 2002), select advantageous contract arbitrators (Egan, Matvos, and Seru, 2025), and shift activity across borders to exploit tax regimes (Hines Jr and Rice, 1994).

The prevalence of these choices raises a central question: should firms be allowed to select their legal environments? Tiebout (1956) implies that allowing firms to sort across jurisdictions may improve welfare by efficiently matching firms to legal regimes. Yet Oates (1972, 1999) highlight a countervailing force: firm choices may steer activity toward jurisdictions that cater to private interests rather than aggregate welfare, leading to a race to the bottom as courts compete to attract firms. This tension is central to a large cross-field literature. While prior studies show that venue choice increases firm and shareholder value, it remains unclear whether society benefits overall or whether these gains are offset by losses to creditors, workers, and other stakeholders.

We study this question in the policy-relevant setting of bankruptcy forum shopping, in which firms file for bankruptcy in courts outside their headquarters state. The practice is common: 22% of cases are forum shopped, and half of those are filed in Delaware. Bankruptcy forum shopping has generated decades of policy debate, leading to nine proposed congressional bills to restrict it.[2] In this debate, critics argue that lawyers, managers, and secured lenders collude to file in Delaware, where favorable judges enable value extraction from employees and other stakeholders (LoPucki, 2006). Proponents counter that firms choose Delaware to access expert judges and established precedents, yielding more effective and predictable proceedings (Ellias, 2018). Bankruptcy lawyers echo this view in a Government Accountability Office (GAO) survey commissioned by the U.S. Senate (Government Accountability Office, 2015). We contribute to this debate by providing the first causal evidence that forum shopping to Delaware can prevent liquidation, benefiting employees and lenders.

Forum shopping is controversial because its consequences are difficult to estimate. Two challenges have limited prior work. First, key outcomes are hard to observe, especially for private firms. Consequently, existing studies focus on small, nonrepresentative samples of public

[1] For further evidence that legal institutions are important, see La Porta et al. (1998); Djankov et al. (2002); Acemoglu, Johnson, and Robinson (2002); Djankov et al. (2003); Besley and Persson (2009).

[2] See U.S. Congress (2024, 2023, 2021a,b, 2020, 2019, 2018, 2011). As far back as 1997, the National Bankruptcy Review Commission's final report recommended limiting forum shopping, which motivated a 1998 congressional bill proposal (National Bankruptcy Review Commission, 1997; Ayotte and Skeel, 2004).

firms. We overcome this limitation by constructing a novel dataset covering the vast majority of U.S. Chapter 11 bankruptcies. In Chapter 11, distressed firms attempt to avoid liquidation by converting debt to equity. The data span 155,059 such cases filed since the 1990s, including firms of all sizes, both public and private. We observe each firm's court choice and headquarters, allowing us to measure forum shopping, as well as key case outcomes: conversion to Chapter 7 liquidation, case duration, and creditor recovery. We link these cases to administrative microdata from the U.S. Census Bureau. Our annual panel tracks each establishment of each bankrupt firm over time. Consequently, we can measure establishment-level outcomes, such as employment and closure, both before and after bankruptcy.

Beyond measurement, endogenous selection into courts poses a second challenge. The firm characteristics that drive forum shopping are likely correlated with outcomes. More sophisticated firms may both forum shop more and perform better in any court. Alternatively, weaker firms may forum shop to avoid liquidation and perform poorly regardless of venue. These confounding factors imply that correlations documented in prior work are unlikely to capture causal effects.

To address the selection problem described above, we use an instrumental-variables approach. We exploit physical proximity to the Delaware bankruptcy court as an instrument for forum shopping. In other settings, long travel times discourage managers and investors from monitoring firms (Giroud, 2013; Bernstein, Giroud, and Townsend, 2016). In our context, distance likely affects venue choice: 33% of bankruptcy professionals in the GAO survey "cited convenience or proximity of the parties involved to the court as a factor in venue selection." To maximize instrument relevance, we focus on firms headquartered in states neighboring Delaware: Maryland, New Jersey, and Pennsylvania. Within these states, variation in distance should matter more, as managers and employees can feasibly drive to Delaware. Exploiting within-state variation, a one-standard-deviation reduction in the distance to Delaware (62 miles) increases the forum-shopping rate by 5.1 percentage points.[3]

We implement this approach using two-stage least squares (2SLS). In the first stage, we regress a Delaware forum-shopping indicator on the distance-to-Delaware instrument. In the second stage, we regress a bankruptcy outcome on the instrumented forum-shopping indicator. Each estimate identifies a local average treatment effect: the causal effect of forum shopping for marginal firms, defined as those whose venue choices are sensitive to distance.

For our 2SLS approach to identify causal effects, the distance instrument must satisfy the exclusion restriction: it affects outcomes only through venue choice. Our empirical specification addresses many potential threats to this exclusion restriction. First, we include

[3]A weak-instrument problem is unlikely given a first-stage F-statistic of 23.34. Our results are also robust to Anderson–Rubin confidence intervals, which are valid under weak instruments.

state-by-year fixed effects, so identification comes from comparisons among firms facing the same state laws and home-court options. Second, we control for county-year proxies for local economic activity, comparing firms in similar local economies. Third, we leverage our rich data to control for a wide set of observable firm characteristics. In some specifications, we include industry-by-filing-year fixed effects. In others, we include fixed effects for binned financial variables from bankruptcy petitions (e.g., \$1 to \$10 million in liabilities). These specifications compare firms near Delaware to observably similar firms farther away. This approach partially addresses concerns that different cities within a state host systematically different firms (e.g., in size or industry).

However, a remaining concern is that unobserved growth prospects may vary with distance to Delaware. To address this concern, we conduct two placebo tests that mirror our main specification. First, we estimate 2SLS regressions using *pre-bankruptcy* employment changes as outcomes. We find economically and statistically insignificant treatment effects, consistent with distance affecting outcomes only through forum shopping. Second, we construct a placebo sample by replacing each bankrupt establishment with a randomly selected never-bankrupt establishment in the same ZIP code. We assign each placebo establishment the filing date and court of its matched bankrupt firm. Estimating treatment effects in this sample, we find precisely zero impact on employment changes before and after bankruptcy. Together, these tests bolster the exclusion restriction by showing that the instrument does not capture unobserved differences in growth prospects that vary with distance to Delaware.

Having established the validity of our instrument, we turn to our main results. In our first 2SLS specification, we show that forum shopping to Delaware causally boosts post-bankruptcy employment. For each establishment, we measure the change in employment from one year before filing to three years after. On average, employment declines after bankruptcy. Forum shopping to Delaware mitigates this decline. Establishments of forum-shopping firms lose 6.627 fewer employees than they would have if they had filed in another court. For context, active establishments have an average of 26.65 employees in the year before filing. Thus, forum shopping increases post-bankruptcy employment by 24.8% of the pre-bankruptcy average employment level.

How does forum shopping to Delaware boost post-bankruptcy employment? We show that it prevents liquidation. We first show that filing in Delaware reduces the share of Chapter 11 cases converted to Chapter 7 liquidation. Our 2SLS estimates imply that filing in Delaware lowers the conversion rate by 31 percentage points relative to filing in another court.

However, conversion to Chapter 7 does not capture all forms of liquidation. Firms may also liquidate within Chapter 11 or downsize after reorganization. To capture these broader outcomes, we examine establishment closure in the Census data. We define an indicator equal

to one if an establishment is closed three years after filing. We find that forum shopping to Delaware reduces establishment closure by 30 percentage points.[4]

Next, we show that forum shopping improves bankruptcy efficiency along other dimensions. It causally shortens bankruptcy duration and increases the probability that unsecured creditors recover a strictly positive amount. This improvement in recovery is inconsistent with the concern that forum shopping exacerbates excessive continuation. Instead, the lower rate of liquidation benefits creditors.

Why does filing in Delaware improve outcomes? We show that access to expert Delaware judges drives our results. We begin by constructing a measure of "judge Delawareness," which compares each judge to the average Delaware judge along four dimensions: liquidation rates, case duration, creditor recovery, and experience. This measure identifies Delaware-like judges in every court. Exploiting the within-court random assignment of judges, we show that Delaware-like judges causally reduce case duration and prevent liquidation.[5] We then show that filing in Delaware increases the probability of being assigned a Delaware-like judge. Finally, we re-estimate our 2SLS regressions controlling for judge Delawareness, comparing forum-shopping firms to non-Delaware filers that happen to draw similar judges. Conditioning on judge Delawareness dramatically reduces our treatment effect and renders it statistically insignificant. Taken together, these results indicate that forum shopping improves outcomes by increasing access to expert judges. These results also support our 2SLS exclusion restriction: if distance were proxying for unobserved firm characteristics, the treatment effect would not attenuate once we condition on judge quality.

Consistent with this mechanism, firms are less likely to forum shop when their home courts become more efficient. Following Iverson (2018), we study an exogenous reduction in judicial caseloads induced by a 2005 policy reform. A difference-in-differences design compares more and less affected courts before and after the reform. As caseloads fall and firms' home courts become more efficient, forum shopping declines. In a complementary test, forum shopping also declines when home-court judges more closely resemble Delaware judges.

Finally, we use the breadth of our dataset to assess external validity. We show that bankrupt firms in our main sample (Maryland, New Jersey, and Pennsylvania) are broadly representative of bankrupt firms in other states. We then extend our within-court design, which compares outcomes across judges with different levels of Delawareness, to firms in all states. As in our baseline sample, Delaware-like judges improve outcomes nationwide. These results support the external validity of our findings. More broadly, forum shopping

[4]Among establishments active in the year before filing, 38% are closed three years after filing.

[5]We use a leave-one-out approach to avoid a mechanical correlation between case outcomes and judge Delawareness. Our specification addresses the recent concerns of Kleiner et al. (2022), see Section IV.A.

has been a persistent feature of bankruptcies nationwide since at least 2010. Delaware has consistently been the dominant venue.

Contribution to the Literature. Relative to the existing literature, we contribute the first causal evidence that forum shopping to Delaware boosts post-bankruptcy employment, prevents liquidations, improves creditor recovery, and expedites bankruptcy proceedings. Such evidence is essential for resolving the decades-long policy debate over whether firms should be allowed to choose their bankruptcy court.

We contribute to the finance literature on the determinants of liquidation (Iverson, 2018; Bernstein, Colonnelli, Giroud, and Iverson, 2019; Bernstein, Colonnelli, and Iverson, 2019; Antill, 2022; Müller, 2022; Dahiya, John, Puri, and Ramirez, 2003; Hotchkiss, Iverson, and Zheng, 2026), the efficacy of corporate bankruptcy (Gilson, John, and Lang, 1990; Dou, Taylor, Wang, and Wang, 2021; Wang, 2021; Antill, 2024; Antill and Hunter, Forthcoming; Morrison, 2007; Ayotte and Morrison, 2009; Iverson, Madsen, Wang, and Xu, 2023), post-bankruptcy performance (Hotchkiss, 1995; Maksimovic and Phillips, 1998), and how bankruptcy rules and practices affect not only investor welfare but also stakeholder outcomes (Araujo, Ferreira, Lagaras, Moraes, Ponticelli, and Tsoutsoura, 2021; Akey and Appel, 2021; Bellon, 2021; Ohlrogge, 2022; Chen, 2022; Ohlrogge, 2023; Graham, Kim, Li, and Qiu, 2023). Unlike all of these papers, we study the policy-relevant issue of bankruptcy forum shopping.

We also build on a law literature examining correlations between bankruptcy forum shopping and various outcomes using small samples of large public firms (LoPucki and Kalin, 2001; Ayotte and Skeel, 2004; LoPucki and Doherty, 2006, 2015; Ellias, 2018; Boudt et al., 2024).[6] We contribute to this literature by providing the first causal evidence that filing in Delaware reduces liquidation rates and increases post-bankruptcy employment.[7] Our instrumental-variables approach accounts for selection into bankruptcy venues based on unobservable characteristics, allowing us to estimate the counterfactual outcome that a forum-shopping firm would have experienced in its home court. More broadly, we extend this work by examining how forum shopping affects all firms, not only large public firms. This broader perspective is important for ensuring that bankruptcy reforms are not designed solely for the largest firms.

Finally, we contribute to a broader literature on corporations' legal institution choices.

[6] In a theoretical model, Gennaioli and Rossi (2010) characterize conditions under which competition across bankruptcy venues leads to more efficient outcomes.

[7] An early version of Ayotte and Skeel (2004) includes a specification using distance to Delaware as an instrument for filing in Delaware, but the small sample size (165 observations) yields statistically insignificant estimates. Our larger sample allows for more precise estimates and the inclusion of richer controls (e.g., interactions of fixed effects for assets, liabilities, and number of creditors), strengthening identification and making distance more plausibly exogenous.

Anderson (2014) studies why courts compete to attract cases; Daines (2001) shows that Delaware incorporation increases firm market valuations; Reese Jr and Weisbach (2002) analyze cross-listing as a voluntary commitment to stronger investor protection and a way to facilitate external equity finance; and Egan, Matvos, and Seru (2025) study how firms' informational advantage in arbitrator selection skews arbitration outcomes in the securities industry. Unlike these papers, which focus on firm and shareholder value, we examine how legal venue choice affects creditors, workers, and other stakeholders. We further contribute by studying these effects in the policy-relevant setting of bankruptcy forum shopping.

I. Institutional Details

This section provides institutional details that are relevant for our empirical framework.

A. Corporate Bankruptcy in the United States

U.S. firms filing for bankruptcy choose between Chapter 11 reorganization and Chapter 7 liquidation. In Chapter 7, a court-appointed trustee sells the firm's assets to repay creditors. In Chapter 11, the bankrupt firm's management continues to operate the firm. In a successful reorganization, the firm's debt converts to equity. Creditors receive the reorganized firm's equity, providing partial repayment, and the firm continues operating with reduced leverage.

Most bankruptcy experts agree that Chapter 11 has two goals.[8] First, the process aims to maximize total lender recovery. Different types of lenders recover different amounts based on the bankruptcy code's priority order. Because unsecured creditors are last in priority, maximizing total lender recovery is typically equivalent to maximizing unsecured recovery. For this reason, unsecured recovery is often used as a proxy for total creditor recovery, a key bankruptcy objective (Kleiner et al., 2022; Hotchkiss, Iverson, and Zheng, 2026).

Second, Chapter 11 aims to avoid liquidation when reorganization preserves more value for lenders. This approach can also benefit employees, as continued operations preserve jobs. That said, if reorganization proves infeasible or less efficient than liquidation, judges are required to convert cases to Chapter 7 liquidation. Moreover, some firms are liquidated or acquired within Chapter 11, which allows managers to oversee asset sales. Even when a firm reorganizes, it may still downsize substantially, as the bankruptcy code facilitates actions such as breaking corporate leases.

[8]For example, the official U.S. Congress summary of the bankruptcy code states that "U.S. bankruptcy law has two central aims... providing [debtors] with a fresh start... [and] maximizing total creditor return on debts." (U.S. Congress, 2022).

B. Forum Shopping

There are 90 U.S. bankruptcy courts. According to 28 U.S.C. §1408,[9] a firm may file for bankruptcy in any court located where it: (i) is headquartered,[10] (ii) has its principal place of business, (iii) holds its principal assets, or (iv) has an affiliate with a pending bankruptcy. For single-establishment firms, the first three options typically correspond to the same court. Likewise, such firms generally have no affiliates.

For multi-establishment firms, these four options provide substantial flexibility in court choice. The fourth "affiliate option" is especially broad. Many firms use this option in a two-step process: an affiliate first files in the desired court, after which the broader firm files in the same court using the affiliate option. This strategy allows firms to select courts in districts where affiliates operate, regardless of where they are headquartered or conduct most of their business. Indeed, many large firms have created subsidiaries in new locations solely to facilitate forum shopping. For example, Purdue Pharma filed for bankruptcy in White Plains, New York, to take advantage of favorable precedent on third-party releases. While Purdue's primary business was in Connecticut, it was nonetheless able to file in New York by having a non-equity general partner change its service-of-process address to an address in Westchester County.[11] Importantly, our dataset captures firms' principal addresses rather than strategic filing addresses: Purdue appears with a Connecticut ZIP code in our data.

Although all bankruptcy courts follow the same federal code, firms still have reasons to forum shop. A 2015 GAO survey of 39 bankruptcy attorneys and judges sheds light on these motivations.[12] Most respondents emphasized the experience of Delaware judges and the predictability of Delaware cases, given the court's long history of large bankruptcies, as key reasons for forum shopping to Delaware. However, roughly one-third highlighted convenience and physical proximity: "Twelve of 39 attorneys and judges cited convenience or proximity of the parties involved to the court as a factor in venue selection."[13] These responses suggest that geographic distance may influence some firms' decisions to file in Delaware. That said, some policymakers and academics question these responses, suggesting they obscure more nefarious forum-shopping motives. In this view, lawyers choose courts that approve high

[9] See https://www.law.cornell.edu/uscode/text/28/1408.

[10] Technically, condition (i) allows a firm to file where it is "domiciled," meaning either its headquarters or its state of incorporation. We define forum shopping as filing outside a firm's headquarters state, even when the filing occurs in its state of incorporation. This definition aligns with policymakers' concerns, which focus on filings away from headquarters (U.S. Congress, 2023, 2024). Nonetheless, in Appendix Table SA.5, we show that our results are robust to controlling for whether firms are incorporated in the same state as their headquarters.

[11] See https://docs.house.gov/meetings/JU/JU05/20210728/113996/HHRG-117-JU05-Wstate-LevitinA-20210728.pdf.

[12] See https://www.gao.gov/assets/gao-15-839.pdf.

[13] See page 25 of https://www.gao.gov/assets/gao-15-839.pdf.

fee reimbursements, while lenders prefer courts that maximize recovery at the expense of workers (LoPucki, 2006; Ellias, 2018).

C. Bankruptcy Judges

Bankruptcy judges have significant discretion over cases. They approve or deny Chapter 11 reorganization plans. Their decisions affect the distribution of value among claimants.[14] At the same time, judges vary in their interpretation of the bankruptcy code. Accordingly, prior research shows that some judges are more likely than others to convert cases to Chapter 7 (Chang and Schoar, 2006; Bernstein et al., 2019; Bernstein, Colonnelli, and Iverson, 2019; Antill, 2022).

Firms have substantial flexibility in choosing their bankruptcy court, but they cannot select their judge. Once a firm chooses a court and files, local rules determine which court office handles the case. Conditional on the court and office, judges are randomly assigned. A large empirical literature shows that, conditional on the court and office, judge characteristics are uncorrelated with firm characteristics (Chang and Schoar, 2006; Bernstein et al., 2019; Bernstein, Colonnelli, and Iverson, 2019; Antill, 2022). While Hüther and Kleiner (2022) argue that hedge funds can time filings to increase the likelihood of obtaining a particular judge, this result is largely driven by selection into offices within a district. In our tests that rely on random assignment, we follow their recommendation and control for law firm experience and the presence of hedge fund investors.

Because judges are randomly assigned within a court, forum shopping is the main way for firms to target certain judge characteristics. By filing in a court where most judges share a desired trait, a firm is more likely to receive such a judge. Consistent with this mechanism, we find that firms filing in Delaware are more likely to be assigned a liquidation-averse judge. This result, which is consistent with the random assignment of judges, appears to drive our main finding that forum shopping to Delaware prevents liquidation.

II. Data

We combine several datasets in our empirical analysis. Subsections II.A to II.C describe these datasets. Subsection II.D outlines our sample construction. Subsection II.E presents summary statistics for our main sample and compares it with a comprehensive sample of

[14]More broadly, judges evaluate whether valuation methods are appropriate, solve disputes relating to claim priority and the validity of liens, approve or deny Debtor-in-Possession (DIP) financing requests, and choose when to grant relief from the automatic stay. In some cases, judges also appoint a trustee to oversee or replace management.

corporate bankruptcies. Finally, Subsection II.F uses our novel dataset to document new facts about forum shopping.

A. Bankruptcy Data

Federal Judicial Center: We begin with bankruptcy data from the publicly available Federal Judicial Center's Integrated Database (FJC).[15] The FJC is maintained by the U.S. courts. It covers all U.S. bankruptcies closed after 2007.

For each bankruptcy, the FJC reports the filing court and office, the filing date, and key variables from the filing petition, including the firm's (i) total liabilities, (ii) total assets, and (iii) estimated number of creditors. These variables are reported in bins that match those on the standard bankruptcy filing petition (e.g., $1 million to $10 million).[16] For concluded cases, the FJC also provides outcome data, including (i) an indicator for conversion from Chapter 11 to Chapter 7, (ii) an indicator for whether unsecured lenders receive any recovery,[17] and (iii) the disposition date (i.e., the outcome determination date), which we use to compute bankruptcy duration.

Crucially, the FJC also reports the primary ZIP code listed for each bankrupt debtor on the Public Access to Court Electronic Records (PACER) site. With rare exceptions, this ZIP code reflects the debtor's headquarters. We merge these ZIP codes with a comprehensive U.S. ZIP code database[18] to obtain the corresponding state, county, longitude, and latitude. We then use these coordinates to construct our key distance variable. Miles to DE is defined as the straight-line distance, in miles, between the longitude and latitude of (i) the firm's headquarters ZIP code and (ii) the Delaware bankruptcy court.[19] We calculate this distance using the Stata command *geodist*.[20]

PACER: The FJC excludes cases closed before 2008 and lacks identifying information about the debtor, its law firm, and the bankruptcy judge. To obtain this information and expand our sample, we merge the FJC data with PACER data. PACER is the official system for accessing U.S. court records. Each federal court maintains its own PACER website, and

[15] See https://www.fjc.gov/research/idb.

[16] In some cases, the FJC provides precise estimates of liabilities and assets. Appendix Table SA.11 shows that our results are robust to controlling for these estimates when available.

[17] In Supplementary Appendix D, we manually check a random subsample of cases and find that this FJC indicator correctly identifies whether unsecured lenders ultimately receive a positive recovery in the confirmed plan (or liquidation process) in virtually every case.

[18] See https://www.unitedstateszipcodes.org/zip-code-database/.

[19] The Delaware bankruptcy court is located at 824 N Market St # 500, Wilmington, DE 19801, with latitude and longitude of 39.7440486, -75.550901.

[20] Appendix Table SA.3 shows that our results are robust to alternative distance measures, such as commute times or relative distances (i.e., the distance to Delaware minus the distance to the nearest bankruptcy court).

each case has a separate case-specific page.

The PACER website for each bankruptcy case includes a case summary with the following information: (i) the debtor's name and address, (ii) the debtor's EIN if it is a business, (iii) the name of the bankruptcy judge, (iv) the name of the debtor's law firm, (v) the court and office handling the case, and (vi) a numeric case identifier that uniquely identifies the case in both the FJC and PACER datasets, allowing us to merge them. Finally, for cases closed before 2008 that do not appear in the FJC, the PACER summary also allows us to measure two outcomes: (i) bankruptcy duration and (ii) an indicator for conversion from Chapter 11 to Chapter 7.

We are grateful to the 41 bankruptcy courts that granted us free PACER access and permission to scrape their PACER websites.[21] For cases filed in these courts, we obtain data directly from PACER. For cases filed in the remaining courts, we obtain data from Bankruptcydata.com and LexisNexis, two data providers that clean and sell PACER data.

B. Census Data

We measure economic activity at bankrupt firms using the Longitudinal Business Database (LBD), a comprehensive establishment-level dataset from the U.S. Census. Because firms can have multiple establishments, the LBD includes a mapping from establishments to firms. The LBD is the highest-quality source of information on U.S. firms' (i) establishment creation and closure, (ii) employment, (iii) North American Industry Classification System (NAICS) codes, (iv) legal status (e.g., corporation), and (v) payroll. As a panel, it tracks these variables over time. It is constructed from mandatory business surveys conducted by the Census and administrative business tax records from the Internal Revenue Service (IRS) (Chow, Fort, Goetz, Goldschlag, Lawrence, Perlman, Stinson, and White, 2021).

We link our bankruptcy data to the LBD using the Census Business Register (BR).[22] For each establishment, the BR provides identifying information, including the establishment's name, EIN, mailing address, and physical address. We match bankruptcies to Census firms using names, addresses, and EINs from PACER and the BR. We provide details on this merge and evidence of its accuracy in the Supplementary Appendix. We describe the resulting establishment-level dataset in Subsection II.E.

[21] While PACER is publicly available, there is a 10-cent charge for each page viewed.

[22] The BR is a Census multi-relational database that serves as the sampling frame for most economic surveys conducted by the Census. It is regularly updated using administrative records and survey data.

C. Other Datasets

County-Year Level Economic Data: We use the U.S. Census Business Dynamics Statistics (BDS) to construct county-year proxies for local economic conditions.[23] We merge each bankruptcy with BDS variables for the filing year and the county of the bankrupt firm's headquarters. The BDS provides county-year aggregates of: (i) total establishments; (ii) total employment; (iii) the number of closing establishments divided by the previous year's total establishments; and (iv) the number of new establishments divided by the previous year's total establishments. We use these measures as control variables.

Hedge Fund Data: Following Kleiner et al. (2022), we use data from Preqin and PitchBook to identify hedge fund investments in bankrupt firms. We merge portfolio firms in these datasets with our bankruptcy sample using firm names and headquarters addresses. We define an indicator equal to one if a bankrupt firm received a hedge fund investment prior to bankruptcy.

Datasets for Supplemental Analyses: In robustness tests, we use HERE Maps data to estimate commute times between each ZIP code and the Delaware bankruptcy court. In additional tests, we use incorporation data from Secretary of State websites and from OpenCorporates.com. Finally, some tests use data on total bankruptcy filings from U.S. Courts.

D. Sample Construction

Full Bankruptcy-Level Dataset (All-State Sample for Descriptive Statistics): We begin with a sample of 155,059 corporate Chapter 11 bankruptcies. Each observation is a bankruptcy. We include cases for which we obtain PACER data and observe an EIN.[24] Our sample spans several decades, with most filings occurring between 1992 and 2021 due to limited PACER coverage before 1992. Coverage becomes nearly universal in the early 2000s. Relative to aggregate U.S. Courts statistics, our dataset captures 82% of corporate Chapter 11 cases filed since 2005. In Subsections II.E and II.F, we use this nearly comprehensive dataset to document new descriptive facts.

[23] See https://www.census.gov/data/developers/data-sets/business-dynamics.html.

[24] While most Chapter 11 cases are filed by businesses, some are filed by individuals. To focus on corporate cases, we include only those cases in which we observe an EIN. Specifically, if a case appears in the FJC and is filed in one of the 41 courts that granted us an exemption, then we collect its PACER information. We include all of these cases that list an EIN on PACER. We supplement this with all Chapter 11 cases that appear in the PACER data provided by LexisNexis and list an EIN. Finally, we supplement this with all cases that (i) appear in the Bankruptcydata.com corporate Chapter 11 dataset and (ii) appear in the FJC, allowing us to measure conversion to Chapter 7.

Main Bankruptcy-Level Dataset (Three-State Sample for Main Analysis): For our main results in Sections III and IV, we focus on firms headquartered in the three states neighboring Delaware: Maryland, Pennsylvania, and New Jersey. Our main "bankruptcy-level dataset" includes 16,094 bankruptcies in which the firm's headquarters is located in one of these three states. We focus on these states because their proximity to Delaware makes air travel unnecessary, so physical distance is more likely to deter or encourage forum shopping. We do not restrict the sample by filing court.

Establishment-Level Dataset (Restricted to the Three-State Sample): For each of the 16,094 bankruptcies in this three-state sample, we attempt to identify the corresponding firm and all of its establishments in the Census data.[25] We match 66% of the cases to a Census firm. Our "establishment-level dataset" includes every establishment that (i) belongs to a matched firm and (ii) is active at any point within three years of the filing.[26] The second condition deserves emphasis. If a firm files in year t, an establishment that permanently closes in $t-2$ is included if it was active in $t-3$. Similarly, an establishment that opens in $t+3$ is included. We define an establishment as active if it has strictly positive employment and payroll. This procedure yields roughly 477,000 establishments linked to the matched firms.

Establishment-Level Outcome Variables: Fix an establishment of a firm that files for bankruptcy in year t and an outcome year $T \neq t-1$. We define the change in employment, $\Delta\text{Employ}_{t-1 \to T}$, as employment in year T minus employment in year $t-1$. If an establishment is inactive in either year, we assign it zero employees in that year. In most tests, we focus on employment three years after filing ($T = t+3$). We also consider establishment closure, measured by an indicator Inactive_{t+3} that equals one if and only if the establishment is inactive in year $t+3$.

We also construct an industry-adjusted change in employment, $\Delta\text{Adj. Employ}_{t-1 \to T}$, to account for industry trends. This measure equals $\Delta\text{Employ}_{t-1 \to T}$ minus the average employment change for establishments filing in year t in the same 4-digit NAICS industry. The adjustment captures variation in employment trends at a finer industry level than our regression controls, which include filing-year-by-three-digit NAICS fixed effects; using 4-digit fixed effects would require a substantially larger set of parameters. While this adjustment improves comparability across industries (Giroud and Mueller, 2015),[27] our tables show highly

[25] See the appendix for details about this matching process.

[26] Because the current version of the LBD ends in 2021, we exclude filings after 2018 to ensure three years of post-filing data.

[27] We construct this variable to account for cross-industry differences in employment scale and adjustment magnitudes. For example, labor-intensive sectors such as retail and restaurants tend to have larger workforces and larger absolute employment changes than capital-intensive sectors.

similar results with or without this demeaning.

Constructing Other Samples for Additional Tests: Our main results in Sections III and IV use the establishment-level dataset (477,000 establishments) and the corresponding main bankruptcy-level dataset (16,094 cases). However, some tests require additional samples. For example, to support our exclusion restriction, we construct a "placebo" sample of non-bankrupt establishments in Delaware-neighboring states and show that their outcomes are uncorrelated with proximity to Delaware. Another test examines firms in all states filing within one year of a 2005 policy shock. Whenever a test uses a sample other than our main bankruptcy- and establishment-level datasets, we describe it.

E. Summary Statistics

Three-State Samples: Table 1(A) reports summary statistics for our main bankruptcy-level dataset. We find that 30% of firms forum shop: they file outside their headquarters state. We define an indicator, File in DE, equal to one for bankruptcies filed in Delaware. Its mean shows that 14% of cases are filed in Delaware, implying that roughly half of forum-shopped bankruptcies are filed there.

Turning to outcomes, 14% of Chapter 11 cases are converted to Chapter 7 liquidation. Unsecured lenders receive a positive recovery in 92% of cases. The average time to disposition (resolution) is 1,041 days, though this is skewed by a small number of lengthy cases; the median duration is 624 days.[28]

Examining firm locations, 20% are headquartered in Maryland, 42% in New Jersey, and 38% in Pennsylvania. The average firm is headquartered 93 miles from the Delaware bankruptcy court. There is substantial variation: a one-standard-deviation increase in distance corresponds to an additional 62 miles one way.

Inspecting the control variables, the average county has 14,911 establishments and 280,332 employees. Each year, 9.75% of establishments close, and there are 9.87 entrants per 100 existing establishments. About 14% of bankrupt firms received a hedge fund investment prior to filing. Appendix Figures SA.4, SA.5, and SA.6 show distributions of liabilities, assets, and creditors from the FJC data. About 75% of firms have under $10 million in liabilities, 82% have under $10 million in assets, and 72% have between 1 and 49 creditors.

Table 1(B) reports summary statistics for our establishment-level dataset. The average establishment has roughly 16 employees in the year before filing ($t-1$), with substantial

[28] Case Duration is missing when the disposition date is unavailable. The indicator Unsecured Recovery is also often missing (e.g., for cases in LexisNexis but not in the FJC). Finally, for a tiny number of cases with conflicting information on conversion to Chapter 7, we code Converted as missing.

dispersion (the standard deviation is 123.6). Consistent with Graham et al. (2023), employment declines by about one employee between $t-1$ and $t+3$ on average (the standard deviation is 9.99). These figures include establishments inactive in $t-1$. Conditioning on those active in $t-1$, the average establishment has roughly 27 employees and loses about four by $t+3$. Among these active establishments, 37.78% close by $t+3$.

Summarizing the Near Universe of Corporate Bankruptcies: Using the uniquely broad scope of our data, we report summary statistics for a near-comprehensive sample of corporate bankruptcies. Appendix Table SA.10 shows that 22% of cases are forum shopped and 11% are filed in Delaware. Turning to outcomes, the average time to disposition is 903 days. About 12% of cases convert to Chapter 7,[29] and unsecured creditors receive a positive recovery in 93% of cases. Around 13% of firms received a hedge fund investment prior to filing.

Appendix Table SA.10 also compares these averages to those in our three-state sample. Counties in the three-state sample are slightly smaller, and forum shopping is slightly less prevalent in the full sample. Along every other dimension, the samples are quite similar, including the share of cases filed in Delaware.[30] This supports the external validity of our three-state estimates. Subsection IV.A further provides suggestive evidence that forum shopping improves outcomes even for firms outside the three states where our distance-based instrument is relevant.

F. Facts about Forum Shopping

Forum Shopping in the Near Universe of Corporate Bankruptcies: We conclude this section by providing the first comprehensive summary of bankruptcy forum shopping. Appendix Table SA.10 shows that roughly 22% of bankruptcies are forum shopped. This rate is broadly stable over time. To show this, we group cases into five-year bins: for each $T \in \{1995, 2000, 2005, 2010, 2015, 2020\}$, we include filings from $T-2$ to $T+2$. Appendix Figure SA.2 plots the share of forum-shopped cases by filing-year bin. Forum shopping was less common in the early 1990s, but the forum shopping rate rose above 30% from 1998 to 2002. In each five-year period since then, the rate has remained around 20% to 25%.

Forum-shopping firms are more likely to file in Delaware than in any other court. Focusing on the 22% of cases that are forum shopped, Appendix Figure SA.3 shows that 48% are filed

[29] This average is slightly below the overall FJC average because our sample includes many LexisNexis cases that closed before 2008 and therefore do not appear in the FJC.

[30] Because firms in a Delaware-neighboring state are more likely to forum shop when closer to Delaware, one might expect higher overall Delaware filing rates in states near Delaware. The similarity across states that we observe likely reflects omitted state-level factors (e.g., lower-quality home courts in more distant states) that are absorbed in our regressions but confound simple cross-state comparisons.

in Delaware. The Southern District of New York is second with 23% of forum-shopped cases. Other courts often cited in anecdotes, including the Southern District of Texas, New Jersey, and the Eastern District of Virginia, each receive fewer than 4%.

Delaware has long been the dominant forum-shopping venue. Using the five-year bins described above, Appendix Figure SA.2 shows that Delaware received over 60% of forum-shopped cases from 1998 to 2002. After a dip following BAPCPA (see Subsection IV.C), its share was nearly 50% from 2008 to 2012 and has increased in each period since. Contrary to popular claims, Delaware remains the dominant forum-shopping venue, and its share is rising.

Forum Shopping in the Three-State Sample: Finally, we show that our main three-state sample is comparable to the nationwide sample. Table 1(A) reports that 30% of bankruptcies in the three-state sample are forum shopped, slightly above the nationwide rate. However, Appendix Figure SA.2(A) shows that forum-shopping rates in the three-state sample range from 20% to 28% over 2003 to 2021, in line with national trends. Among forum-shopping firms headquartered in Delaware-adjacent states, 48% file in Delaware (Appendix Figure SA.3), essentially identical to the nationwide share. Appendix Figure SA.2 shows this pattern is stable over time.

In sum, forum shopping is common, and Delaware is by far the dominant destination.

III. Main Results from the Distance Instrument

This section presents our main results. Subsection III.A describes our 2SLS design. Subsection III.B shows that our distance instrument is relevant. Subsection III.C defends the exclusion restriction. Subsections III.D to III.F show that forum shopping leads to higher post-bankruptcy employment, fewer liquidations, faster resolution, and improved recovery.

A. Empirical Specification

To estimate the causal effect of filing for bankruptcy in Delaware, we implement a 2SLS design. The first stage instruments for Delaware filing using the distance from a firm's headquarters to the Delaware bankruptcy court. The second stage uses this instrument to isolate plausibly exogenous variation in forum choice and estimate the effects of forum shopping on firm outcomes.

Throughout Section III, the sample is restricted to firms headquartered in Delaware-adjacent states. We alternate between bankruptcy-level and establishment-level analysis. The corresponding regression specifications are as follows.

Establishment-Level Analysis: In this analysis, each observation is an establishment e of a firm f located in state s filing for bankruptcy in year t. We estimate the following first-stage regression using ordinary least squares (OLS):

$$\text{File in DE}_{e,f,s,t} = \beta_1 \text{Log Miles to DE}_f + \delta_{st} + \gamma X_{e,f,s,t} + \epsilon_{e,f,s,t}. \tag{1}$$

The dependent variable is an indicator equal to one if the bankruptcy associated with establishment e is filed in Delaware. Because the sample is limited to firms headquartered in Maryland, Pennsylvania, or New Jersey, this corresponds to forum shopping to Delaware. The key independent variable, Log Miles to DE_f, is the logarithm of the distance in miles from firm f's headquarters to the Delaware bankruptcy court.[31] We include establishment-state-by-filing-year fixed effects δ_{st} to control for local economic conditions and state laws. Additional controls include: (i) establishment-industry-by-year fixed effects, (ii) establishment-legal-status-by-year fixed effects (e.g., corporation), and (iii) county-year proxies for economic activity from the BDS (Section II.C) and their interactions.

A firm with multiple establishments may file several related bankruptcies simultaneously. To account for correlation across related filings and establishments, we cluster standard errors at the firm level.

After establishing instrument relevance in equation (1), we estimate the causal effects of forum shopping using 2SLS:

$$\text{Outcome}_{e,f,s,t} = \beta_2 \overline{\text{File in DE}}_{e,f,s,t} + \delta_{st} + \gamma X_{e,f,s,t} + \epsilon_{e,f,s,t}. \tag{2}$$

The dependent variable is an establishment-level outcome (e.g., Inactive_{t+3}) that varies across specifications. The key independent variable is an indicator for filing in Delaware, instrumented using first-stage estimates from (1). Fixed effects δ_{st} and controls $X_{e,f,s,t}$ are identical to those in (1). Standard errors are clustered by firm.

Bankruptcy-Level Analysis: In this analysis, each observation is a bankruptcy b filed in year t by a firm headquartered in state s. We estimate the following first-stage regression using OLS:

$$\text{File in DE}_{b,s,t} = \beta_1 \text{Log Miles to DE}_b + \delta_{st} + \gamma X_{b,s,t} + \epsilon_{b,s,t}. \tag{3}$$

This specification parallels equation (1), but the unit of observation is a bankruptcy. The dependent variable, File in $\text{DE}_{b,s,t}$, and the key independent variable, Log Miles to DE_b,

[31] Appendix Tables SA.3 and SA.4 show robustness to alternative definitions for the distance instrument: commute time, linear distance, or distance relative to the nearest court.

are defined analogously. We include state-of-headquarters-by-filing-year fixed effects, δ_{st}, so identification comes from comparisons among firms facing the same state laws and the same home bankruptcy court option. The control vector $X_{b,s,t}$ includes: (i) fixed effects for liabilities, assets, and the number of creditors, based on binned petition data (Subsection II.A), (ii) interactions among these fixed effects, and (iii) county-year proxies for economic activity described in Subsection II.C. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level.[32]

After establishing instrument relevance, we estimate the following equation using 2SLS:[33]

$$\text{Outcome}_{b,s,t} = \beta_2 \overline{\text{File in DE}}_{b,s,t} + \delta_{st} + \gamma X_{b,s,t} + \epsilon_{b,s,t}. \tag{4}$$

The dependent variable is a bankruptcy-level outcome, such as conversion to Chapter 7. We use fitted values of File in $\text{DE}_{b,s,t}$ from equation (3). The fixed effects and controls are the same as in the first stage. As before, we cluster standard errors at the headquarter-ZIP-code-by-year level.

B. First-Stage Relevance

To begin, we show that firms located farther from Delaware are less likely to file for bankruptcy there. We estimate equation (1) using establishment-level data. Column 1 of Table 2 reports the results. Distance to Delaware is strongly negatively related to filing in Delaware. The Kleibergen-Paap *rk* Wald F statistic is 28.21, indicating that a weak-instrument problem is unlikely (Stock and Yogo, 2005).[34] The magnitude is economically meaningful: The coefficient of -0.1470 implies that a one-standard-deviation decrease in distance increases the forum-shopping rate by 10.3 percentage points.[35]

Next, we estimate the bankruptcy-level first-stage equation (3).[36] Column 2 of Table 2

[32]Because it is difficult to reliably link multiple bankruptcies filed by the same firm without the Census BR, clustering at the headquarter-ZIP-code-by-year level ensures that all bankruptcies of a given firm fall within the same cluster. Appendix Table SA.13 shows that our results are robust to instead clustering by ZIP code.

[33]We use 2SLS to follow standard conventions. However, we find quantitatively similar results when we use a conditional logistic regression to account for the fact that Delaware filing and conversion to Chapter 7 are binary variables. See Appendix Table SA.14 for details.

[34]This test statistic, which is reported by the Stata *ivreghdfe* command, is a generalization of the F-statistic from an F test of the instrument (Kleibergen and Paap, 2006; Bazzi and Clemens, 2013). To further rule out that our results are driven by a weak-instruments problem, Appendix Table SA.16 reports Anderson–Rubin 95% confidence intervals that are robust to weak-instrument concerns. The intervals exclude zero, implying statistical significance.

[35]Table 1 reports that the standard deviation of the instrument (taken at the bankruptcy level) is 0.7, so $-0.147 \times 0.7 = 0.103$.

[36]Following standard conventions, we omit "singleton observations" that are the sole observation identifying a fixed effect.

shows that distance to Delaware remains strongly negatively related to filing in Delaware. The Kleibergen-Paap *rk* Wald instrument F statistic is 23.34. A one-standard-deviation decrease in distance increases the forum-shopping rate by 5.1 percentage points.

In a final bankruptcy-level specification, we include interacted fixed effects for assets, liabilities, and number of creditors. This restricts the sample to FJC cases but allows comparisons among financially similar firms. Column 3 of Table 2 shows that estimates shift as the sample shrinks. Nonetheless, the relationship between distance and Delaware filing remains highly statistically significant, with a Kleibergen-Paap F statistic above 10.

In sum, proximity to Delaware strongly predicts forum shopping: within a state, a one-standard-deviation reduction in distance raises the Delaware filing rate by 5–10 percentage points, depending on the specification.

Monotonicity: To interpret our 2SLS estimates as local average treatment effects (Imbens and Angrist, 1994), we assess the assumption that distance monotonically reduces forum-shopping rates. Following Bernstein, Colonnelli, and Iverson (2019), we use a nonparametric approach. Appendix Figure SA.7 presents a bin scatter showing that the probability of filing in Delaware, residualized using the controls from equation (3), declines monotonically with the residualized distance to Delaware. This pattern supports the monotonicity assumption.

Which Firms' Forum Choices Depend on Distance? Large firms likely gain enough from forum shopping that distance does not deter them. At the other extreme, the smallest firms may lack the sophistication or resources to forum shop, even to a nearby out-of-state court. This suggests that midsize firms are the most likely compliers: they forum shop if and only if they are close to Delaware. Appendix Table SA.1 supports this view. The first-stage coefficient is substantially larger for midsize firms than for smaller or larger firms, consistent with a higher share of compliers (Maestas, Mullen, and Strand, 2013; Bernstein, Colonnelli, and Iverson, 2019). Similarly, Appendix Table SA.2 shows a larger first-stage estimate among high-leverage firms, suggesting that compliers are more highly levered. Importantly, this does not imply that we should restrict the sample to midsize or high-leverage firms. By construction, 2SLS identifies the average treatment effect for compliers even when the full sample is used (Imbens and Angrist, 1994).

Why are Firms Sensitive to Distance? Firms located near Delaware may be more willing and able to forum shop for several reasons. First, nearby firms that are not yet eligible may find it easier to qualify by reincorporating in Delaware or forming a Delaware subsidiary. Second, they may be more likely to already meet these criteria. Third, proximity may shape

law-firm choice, as nearby firms are more likely to hire counsel inclined to forum shop.

Several tests help rule out most, but not all, of these mechanisms. Appendix Table SA.5 shows that firms near Delaware are no more likely to be incorporated there, and our results are robust to controlling for Delaware incorporation status. Appendix Table SA.9 shows similar results when controlling for whether firms had a Delaware establishment three years prior to filing. Appendix Table SA.6 shows robustness to controls for law firm experience and fixed effects for the 20 most common firms. By elimination, this evidence suggests that proximity lowers the cost of qualifying for forum shopping, particularly through opening a first Delaware subsidiary.[37]

C. Evidence Supporting the Exclusion Restriction

The following sections present 2SLS results showing that forum shopping increases post-bankruptcy employment growth, Δ Adj. Employ$_{t-1\to t+3}$, reduces liquidation rates, and improves creditor recovery. However, these 2SLS results are valid only if our distance instrument satisfies the exclusion restriction: conditional on controls,[38] it affects outcomes only through forum shopping. Our controls mitigate many threats to this assumption. Identification relies on comparisons among firms filing in the same year, located in the same state, and facing similar county-level economic conditions. Our most saturated specifications further restrict comparisons to firms with similar financials and industries. Thus, any violation must arise from an omitted variable correlated with both proximity to Delaware and firm outcomes. We now provide evidence against this possibility. Appendix Table SA.21 explains why many specific threats are inconsistent with this evidence.

Distance is Uncorrelated with Pre-Bankruptcy Growth Trends: A natural concern is that firms near Delaware follow different growth paths. If so, their establishments should exhibit different *pre-bankruptcy* growth. We test this using a placebo outcome, Δ Adj. Employ$_{t-1\to t-3}$, defined analogously to our main outcome but using employment changes from $t-3$ (three years before filing) to $t-1$. If proximity influences outcomes through forum shopping, our 2SLS regression should produce a treatment effect of zero for this placebo outcome: bankruptcy cannot impact past employment. Conversely, if proximity correlates with unobserved growth prospects, the placebo 2SLS estimate should be positive. Estimating (2)

[37] An alternative explanation is that managers prefer to appear in court, which is less costly when courts are nearby. If so, controlling for proximity to the nearest court using a relative-distance instrument should change the results by controlling for managerial court appearances for home-court filers. Appendix Table SA.3 shows that it does not.

[38] Abadie (2003) shows that 2SLS is consistent if the instrument is *conditionally* uncorrelated with the error term, even when both the instrument and controls are unconditionally endogenous.

by 2SLS for this placebo outcome, we find an economically and statistically insignificant coefficient. Figure 1 shows this result and replicates it using changes from $t-2$ to $t-1$.

Distance is Uncorrelated with Growth for Nonbankrupt Firms: We complement the above result by showing a null result in a placebo sample: never-bankrupt firms. For each establishment in our main sample, we use the entire LBD to randomly select a placebo establishment in the same ZIP code.[39] We assign the bankrupt establishment's filing characteristics (e.g., court choice and filing year) to the placebo establishment, but use the placebo's changes in employment: we calculate Δ Adj. $\text{Employ}_{t-1 \to T}$ for $T = t-3, t-2, ...t+3$. Using these outcomes, we estimate (2) in our placebo sample by 2SLS. Across all time horizons, the gray diamonds in Figure 1 show estimates near zero that are statistically insignificant.

Conditional on Judge Quality, Distance is Uncorrelated with Liquidation: In Subsection IV.B, 2SLS results show that forum shopping prevents liquidation, but the effect shrinks and becomes statistically insignificant once we control for a proxy for judge quality. This pattern supports our preferred interpretation: forum shopping enables access to expert judges, improving outcomes. By contrast, if distance from Delaware were correlated with unobserved firm characteristics that drive liquidation, then conditioning on judge quality would not reduce the effect; distance would remain predictive even when judge quality is held constant.

A Separate Natural Experiment Confirms Our Results: In Subsection IV.A, we show that being randomly assigned to a Delaware-style judge improves outcomes. This result mirrors the 2SLS results of the current section. This result is inconsistent with our 2SLS result being driven by a correlation between unobserved firm characteristics and distance.

Additional Evidence Ruling Out Specific Concerns: Finally, we conduct a battery of tests to further address threats to the exclusion restriction. Appendix Figure SA.8 and Appendix Table SA.12 show that, conditional on our controls, leverage and other financial variables are uncorrelated with distance. Appendix Table SA.5 shows that distance is uncorrelated with incorporation status, and our results are robust to controlling for home incorporation. Appendix Table SA.6 shows robustness to including fixed effects for the top 20 law firms. Appendix Table SA.7 shows robustness to excluding major cities. Appendix Table SA.8 shows robustness to controlling for distance to New York City, a major financial center. Appendix Table SA.9 shows robustness to controlling for a prior Delaware establishment. Appendix Table SA.11 shows robustness to controlling for exact, rather than binned, estimates of lever-

[39] We provide details in the Supplementary Appendix.

age when available. Appendix Table SA.18 shows robustness to adding combined statistical area (CSA)-by-state fixed effects, comparing firms within tighter geographic areas. Appendix Table SA.21 summarizes how this evidence addresses a range of identification concerns.

D. Forum Shopping Boosts Post-Bankruptcy Employment

Having established the validity of our distance-to-Delaware instrument, we use it to identify the causal effects of forum shopping. To begin, we examine establishment-level employment changes between year $t-1$ (one year before filing) and $T = t,\ t+1,\ t+2,\ t+3$. As discussed in Subsection II.D, we study both raw changes, Δ Employ$_{t-1 \to T}$, and industry-adjusted changes, Δ Adj. Employ$_{t-1 \to T}$.

We start by estimating equation (2) via 2SLS, using Δ Employ$_{t-1 \to t+3}$ as the outcome. Column 2 of Table 3 shows that filing in Delaware increases employment in year $t+3$ by roughly 8 employees relative to filing elsewhere. The treatment effect is highly statistically significant. Column 3 reports a slightly smaller effect, 6.627 additional employees, after adjusting for industry trends. Relative to average pre-filing employment among active establishments (Table 1), this implies a 24.8% increase (6.627 / 26.65). Figure 1 presents analogous 2SLS estimates across horizons $T = t,\ t+1,\ t+2,\ t+3$, using Δ Adj. Employ$_{t-1 \to T}$. The effects emerge in the filing year and become statistically significant after two years.

OLS versus 2SLS and Selection into Forum Shopping: To understand selection into forum shopping, we estimate (2) by OLS, using actual values of the endogenous variable, File in DE, rather than instrumented values. Column 1 of Table 3 reports a coefficient close to zero. This contrast suggests negative selection: firms that forum shop have weaker employment trends than those filing in their home courts. The near-zero OLS estimate reflects the offsetting forces of negative selection and a positive treatment effect. In summary, firms tend to forum shop when their economic prospects are poor.

E. Forum Shopping Prevents Liquidation and Closure

Why does filing in Delaware boost post-bankruptcy employment relative to filing elsewhere? We now show this gain is driven mainly by fewer liquidations and establishment closures.

We begin with a bankruptcy-level analysis of conversion from Chapter 11 to Chapter 7. We estimate equation (4) via 2SLS with a conversion indicator as the outcome. Column 2 of Table 4 shows that filing in Delaware reduces conversion rates by 31 percentage points. The effect is highly significant and remains after controlling for firm financial characteristics (column 4). The larger estimate in column 4 likely reflects noise from the smaller sample.

The corresponding OLS estimates based on endogenous forum choice are near zero (columns 1 and 3). Again, this suggests negative selection: firms tend to forum shop when liquidation risk is high, offsetting the treatment effect.

External Validity Beyond Compliers: Our 2SLS estimates reflect a local average treatment effect on compliers: firms whose forum shopping decisions are sensitive to distance (Imbens and Angrist, 1994). To generalize beyond compliers, we estimate a Roy model.[40] The Roy model interprets our 2SLS estimates as reflecting selection into forum shopping based on heterogeneous gains. In this setting, it compares strong compliers (forum shop in many ZIP codes) to marginal compliers (forum shop only when very close to Delaware). Under parametric assumptions, differences in treatment effects across these groups can be extrapolated to infer an average treatment effect (ATE) across all firms, even those insensitive to the instrument. Appendix Table SA.15 reports a negative ATE that is larger in magnitude than our 2SLS estimate. This pattern is intuitive: compliers are midsize firms. Small firms may benefit substantially from forum shopping but lack the resources to do so, while large, complex firms benefit so much that they forum shop regardless of proximity to Delaware.

Establishment Closure: Next, we turn to a broader outcome: establishment closure. We estimate the establishment-level equation (2) via 2SLS using Inactive_{t+3} (closure by year $t+3$) as the outcome. Column 6 of Table 4 reports that forum shopping reduces the closure rate by 30 percentage points. The OLS estimate (column 5) is near zero, suggesting that firms forum shop when closure is likely. These results support our preferred interpretation: forum shopping boosts post-bankruptcy employment by preventing liquidations.

F. Forum Shopping Improves Recovery and Expedites Bankruptcy Resolution

Returning to our bankruptcy-level sample, we examine how filing in Delaware affects other measures of bankruptcy efficiency. We begin with creditor recovery, defining an indicator for unsecured lenders receiving strictly positive recovery. We construct this measure using FJC data; we find similar results using PACER data (Appendix Table SA.22). In a random subset of cases, we manually verify that the measure aligns with trustee reports and bankruptcy

[40] We estimate a parametric normal model by local IV (i.e., regressing the conversion indicator on controls interacted with propensity scores calculated in a first stage) using the Stata command *mtefe*. See Roy (1951); Heckman and Vytlacil (2001, 2005); Antill (2022) for details. We include county-year proxies for local economic activity, state-by-year fixed effects, and interacted fixed effects for firm financial characteristics. We cluster standard errors at the ZIP code-by-filing-year level, ignoring estimation error in the calculation of propensity scores and the integration weights used to compute the average treatment effect (Antill, 2022).

disclosure statements.[41] See Supplementary Appendix D for details.

We estimate (4) by 2SLS using this recovery measure as an outcome. Column 2 shows a large, positive, and significant treatment effect. Thus, forum shopping improves creditor recovery. Column 3 shows robustness to controlling for firm financial characteristics. The analogous OLS estimate (column 1), based on endogenous venue choice rather than instrumented values, is near zero. Again, this suggests negative selection: firms forum shop when they expect low recovery in any court.

We next examine bankruptcy duration. We define duration as the logarithm of the number of days between filing and disposition. Estimating (4) by 2SLS, column 5 of Table 5 shows that forum shopping sharply reduces duration. Column 6 shows robustness to controlling for financial characteristics, and column 4 shows negative selection: firms forum shop when they expect a lengthy bankruptcy.

IV. Delaware Judges as the Source of 2SLS Effects

This section examines the mechanisms through which forum shopping improves bankruptcy outcomes. Subsection IV.A shows that non-Delaware judges who adopt Delaware-style practices achieve stronger outcomes, implying that filing in Delaware selects into higher-quality judges on average. Subsection IV.B shows that our earlier 2SLS results are explained by the superior pool of judicial talent in Delaware. Subsection IV.C shows that forum-shopping rates rise with home-court congestion, consistent with firms avoiding less efficient courts.

A. Delaware-Like Judges Achieve Stronger Outcomes in All Courts

We construct a measure of judge "Delawareness" by comparing each judge's outcomes to Delaware averages across four dimensions. The first is the rate of converting cases to Chapter 7, computed for each judge using the full bankruptcy sample (i.e., all states). To avoid mechanical correlation between the outcome in case b and the judge's Delawareness in that case, we use a leave-one-out approach: when computing the average for case b, we leave out all cases filed by firms headquartered in the same county as case b. This addresses mechanical correlation arising from multiple subsidiary filings by the same firm. We apply the same procedure to three additional variables: unsecured recovery, the logarithm of case duration, and judge experience, measured as the number of cases handled prior to case b.

We then compute corresponding Delaware benchmarks, averaging conversion rates, unsecured recovery, log case duration, and judge experience across all cases filed in Delaware.

[41] These recovery data sources are similar to those used in Hotchkiss, Iverson, and Zheng (2026) and Hüther and Kleiner (2022).

For each judge and each variable, we calculate the absolute difference between the judge's leave-one-out average and the Delaware average.[42] We then perform principal component analysis on these four absolute differences and extract the first component. This first component, which we label the "Judge DE Gap," loads positively on all four differences, so higher values indicate lower Delawareness in case b. Importantly, for each case, Judge DE Gap is constructed in a leave-one-out manner that excludes the focal case, so it does not mechanically incorporate that case's outcomes.

Using this measure, we confirm a standard result in the literature: within a court over a narrow time window, judges are randomly assigned. Excluding Delaware cases from our main bankruptcy sample,[43] we estimate

$$\text{Judge DE Gap}_{b,s,c,t} = \kappa_{ct} + \eta X_{b,s,t} + \epsilon_{b,s,c,t}, \tag{5}$$

where κ_{ct} are court-by-office-by-filing-month fixed effects. We cluster standard errors by judge. Column 1 of Table 6 shows no correlation between observable firm characteristics and assigned judge characteristics. To address concerns raised by Kleiner et al. (2022), we (1) include filing-month fixed effects to limit the influence of strategic timing, (2) include office fixed effects to account for within-court venue selection, and (3) control for sophisticated agents using an indicator for hedge fund presence and law firm experience, as recommended by Kleiner et al. (2022).[44] These sophisticated-agent controls are statistically insignificant, suggesting that judge shopping concerns are not relevant in our sample.

Next, we show that judges with lower DE gaps produce stronger bankruptcy outcomes. Excluding Delaware cases from our main bankruptcy sample, we estimate:

$$Y_{b,s,c,t} = \beta \text{Judge DE Gap}_{b,s,c,t} + \kappa_{ct} + \eta X_{b,s,t} + \epsilon_{b,s,c,t}, \tag{6}$$

where Y is either (1) log case duration, (2) an indicator for conversion to Chapter 7, or (3) an indicator for positive unsecured recovery. We cluster standard errors by judge. Columns 2 to 4 of Table 6 show that Delaware-like judges (low DE gap) liquidate less often and resolve cases more quickly. The negative coefficient in column 4 suggests that Delaware-like judges improve recovery, but it is not statistically significant, reflecting noise in the recovery measure. These results indicate that Delaware-like judges produce better outcomes.

[42] Because each judge's leave-one-out average varies across cases, these differences also vary across cases for a given judge. For experience, we simply take the difference between the assigned judge's experience at the time of the case and the Delaware average.

[43] We exclude Delaware cases because there is not meaningful variation in Delawareness across Delaware judges.

[44] Law firm experience is the number of prior cases handled by the law firm in case b.

Robustness to Bootstrap Standard Errors: Following the literature,[45] we report standard errors that do not account for estimation error in the construction of the Judge DE Gap. We address this using a stratified bootstrap with 500 replications, resampling with replacement from the full bankruptcy sample while maintaining the share of firms headquartered in Delaware-neighboring states. In each replication, we recompute the Judge DE Gap and re-estimate Table 6. The treatment effects in columns 2 and 3 remain statistically significant.

External Validity for Firms in Other States: Cleaning law firm names requires substantial manual effort, so we restrict our baseline specification (6) to the three-state sample rather than extending cleaning to the full sample. This allows us to construct law firm experience, an important control recommended by Kleiner et al. (2022). However, omitting this control enables estimation of equation (6) in the full bankruptcy sample (excluding Delaware cases). Appendix Table SA.17, which reports these full-sample estimates, shows results similar to Table 6. This supports the external validity of our findings, indicating that Delaware-like judges produce better outcomes nationwide, not only for firms in Delaware-adjacent states.

B. Attributing our Main 2SLS Results to Delaware Judges

We now show that the benefits of forum shopping (Section III) arise from access to Delaware-like judges (Subsection IV.A). We proceed in two steps. First, we document that firms forum shop to obtain a Delaware-like judge. In our main bankruptcy-level sample, we estimate (4) via 2SLS with the judge DE gap as the outcome. As in Section III, we include state-by-year fixed effects and county-year controls for local economic activity. Additionally, we control for sophisticated agents using an indicator for hedge fund presence and law firm experience. Column 1 of Table 7 reports a negative and significant 2SLS estimate. Thus, filing in Delaware reduces the DE gap of the assigned judge.[46]

Second, we show that the lower liquidation rates of forum shoppers are driven by the lower DE gaps of their assigned judges. We re-estimate (4) via 2SLS using the conversion indicator as the outcome and including the judge DE gap as a control. We control for sophisticated agents. Column 3 of Table 7 shows that the 2SLS estimate shrinks by 50% and becomes insignificant. Column 2, which replicates the baseline with sophisticated-agent controls, shows that this attenuation is driven solely by the inclusion of the judge DE gap.

To interpret this result, consider a thought experiment involving two firms in Maryland.

[45] See, for example, Kling (2006); Maestas, Mullen, and Strand (2013); Doyle Jr et al. (2015); Bernstein, Colonnelli, and Iverson (2019); Bernstein et al. (2019); Antill (2022); Kleiner et al. (2022).

[46] This regression excludes court fixed effects, as they would absorb all variation in the first-stage outcome. The identifying variation is therefore cross-court, so this result is consistent with the random assignment of judges.

One firm is closer to Delaware and files there, while the farther firm files locally. Suppose the Maryland filer is randomly assigned the most Delaware-like judge in Maryland, so the two firms are assigned functionally identical judges. Do these firms have similar outcomes? If proximity to Delaware affects outcomes only through access to better judges, both firms should have similar outcomes. If instead proximity matters through other channels (e.g., correlation with an omitted variable), outcomes should differ despite identical judges. The estimates in Table 7 support the former, indicating that forum shopping operates through access to Delaware-like judges.

This Result Supports the Exclusion Restriction for the Distance Instrument: This finding is inconsistent with several threats to our 2SLS exclusion restriction (Subsection III.C). For example, if firms near Delaware achieve better outcomes because they hire superior law firms, this advantage should persist after controlling for the judge DE gap.[47] Table 7 rejects this law firm explanation for our results.

High Versus Low DE Gap Home Courts: An implication of this result is that firms with more Delaware-like home courts should forum shop less and benefit less from doing so. Appendix Table SA.19 supports this prediction. Column 1 shows that firms forum shop less when the average judge in their home court has a low DE gap. Columns 2–3 show that our 2SLS results are driven by firms in Maryland and Pennsylvania, where the average home-court DE gap is high, rather than New Jersey, where it is lowest.[48]

C. Supporting Evidence from a 2005 Policy Shock

Our results show that firms forum shop to access higher-quality judges, improving outcomes. This implies that firms should be more likely to forum shop when their home courts are less efficient. Appendix Table SA.19 confirms this prediction in the cross section: firms in states with higher judge DE gaps forum shop more frequently. We now test this implication in the time series using a policy shock that affects court efficiency by reducing case congestion.[49]

Direct comparisons of congested and uncongested courts are uninformative because judge caseloads are endogenous and correlated with local economic conditions. To generate plausibly exogenous variation, we follow Iverson (2018) and exploit the 2005 Bankruptcy Abuse

[47] Appendix Table SA.6 further addresses this concern by showing robustness to the inclusion of law firm fixed effects.

[48] Column 3 excludes Pennsylvania, which has the highest average judge DE gap among the three states, and finds no significant effect; Column 2 excludes New Jersey and yields results similar to Table 4.

[49] Congestion reduces efficiency because judges handling larger caseloads take longer to decide cases and are more likely to make suboptimal decisions, affecting bankruptcy outcomes (Iverson, 2018; Müller, 2022).

Prevention and Consumer Protection Act (BAPCPA). This reform increased the cost of personal bankruptcy, reducing filings.[50] Because bankruptcy judges handle both personal and corporate cases, the decline in personal filings reduced judicial caseloads. Courts with a higher pre-reform share of non-business filings experienced larger declines in caseloads.

Using cases filed in a one-year window around the reform (2004–2006), we estimate:

$$\text{File in DE}_{b,s,t} = \gamma \text{Low caseload court}_{b,s,t} + \delta_t + \gamma_s + \epsilon_{b,s,t}. \tag{7}$$

The dependent variable equals one if case b is filed in Delaware. We include firms headquartered in all states except Delaware so that filing in Delaware reflects forum shopping. The treatment variable, Low caseload court$_{b,s,t}$, interacts a post-BAPCPA indicator with the 2003 share of non-business filings in the firm's home court.[51] Higher values correspond to larger declines in caseloads after the reform. We include firm-headquarter-state and year fixed effects. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level.

Table 8 reports the results. Column 1 shows that lower caseloads significantly reduce the probability of filing in Delaware, with an estimate of 2.4 percentage points. Column 2 shows robustness to controls for firm financial characteristics (interacted fixed effects for liability, asset, and number of creditor bins).[52] Appendix Figure SA.1 plots dynamic treatment effects, interacting indicators for half-year filing bins with the 2003 share of nonbusiness filings at the home court. There are no significant pre-BAPCPA effects, and the effect becomes significant in the half-year window immediately following the law's enactment. Appendix Table SA.20 shows robustness over a longer sample period (2003-2007).

Overall, these findings support the view that firms forum shop to avoid less efficient home courts: when local caseloads fall, forum shopping declines.

V. Conclusion

As recently as 2024, Congress has considered legislation to limit bankruptcy forum shopping, a practice in which firms file for bankruptcy outside their home state. When introducing a related 2023 bill, Senator Warren wrote:

> "Wealthy corporations should not be able to run across the country to find a

[50] In particular, high-income individuals were prohibited from filing for Chapter 7 bankruptcy and homestead exemptions were capped.

[51] The post-BAPCPA period begins after October 17, 2005. For firms headquartered in county c and state s, the home court is the court in state s receiving the largest share of filings from firms in the same county and state.

[52] Including these controls limits the sample to FJC cases, reducing the sample size.

> favorable court to file bankruptcy. While they manipulate the system to file for bankruptcy wherever they please, affected communities — like workers, creditors, and consumers — lose."

In contrast, forum-shopping proponents argue that districts such as Delaware offer more experienced judges and more developed legal precedents, improving outcomes for all stakeholders. We inform this debate by estimating the causal effects of forum shopping to Delaware, the most common forum-shopping destination by a wide margin.

To do so, we exploit within-state variation in proximity to Delaware: firms headquartered closer to Delaware are more likely to file for bankruptcy there. Combining a comprehensive dataset of corporate bankruptcies with administrative data from the U.S. Census Bureau, we estimate 2SLS regressions that instrument for forum shopping with distance to Delaware. To ensure that our distance instrument is plausibly exogenous, we control for an extensive list of observable firm characteristics and local economic conditions. Two placebo tests further support our exclusion restriction.

We find that forum shopping to Delaware reduces liquidation rates, increases creditor recovery, shortens cases, and raises post-bankruptcy employment. Contrary to Senator Warren's concerns, these results imply that forum shopping benefits workers through higher post-bankruptcy employment. To the extent that consumers benefit from fewer liquidations and shorter bankruptcies (Antill and Hunter, Forthcoming), other stakeholders gain as well. Importantly, our analysis is silent on forum shopping to courts other than Delaware.[53]

[53]There is large heterogeneity in court precedents across the U.S. on the priority of non-debt liabilities. For instance, severance pay in the New York bankruptcy courts has a higher priority than in other states.

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Figure 1: Forum Shopping Boosts Post-Bankruptcy Employment: Results and Placebo Tests

This figure displays 2SLS estimates of the causal effect of forum shopping to Delaware on industry-adjusted employment changes. Each observation is an establishment of a firm filing for bankruptcy in year t. The outcome is Δ Adj. $\text{Employ}_{t-1 \to T}$, defined as the change in employment from year $t-1$ to year T, minus the average employment change for establishments filing in year t in the same 4-digit NAICS industry. If an establishment is inactive in either year $t-1$ or T, we assign it zero employees in that year. We instrument for filing in Delaware using the distance from the bankrupt firm's headquarters to the Delaware bankruptcy court (see Table 2). Each specification mirrors the specification described in Table 3. The black circles plot 2SLS estimates for our baseline sample across horizons $T = t-3$, $t-2$, t, $t+1$, $t+2$, $t+3$, with estimates on the y axis and horizons on the x axis. The gray diamonds plot 2SLS estimates for a placebo sample of never-bankrupt establishments, each randomly selected from the same ZIP code as an establishment in our baseline sample and assigned that establishment's filing characteristics. Standard errors are clustered at the firm level. Error bars display 95% confidence intervals. This graph was estimated at a Federal Statistical Research Data Center under FSRDC Project Number 2910. (CBDRB-FY26-P2910-R12910). Estimates have been rounded to four significant digits according to the disclosure avoidance practices in place at the Census Bureau.

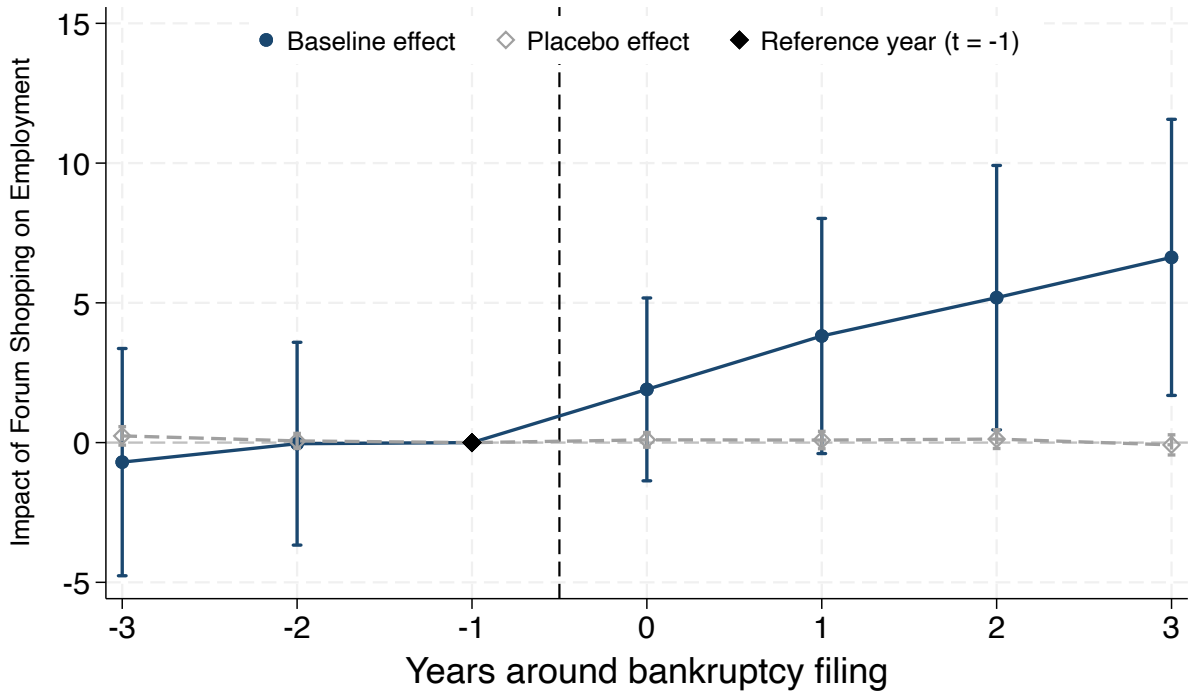


Table 1: Summary Statistics

This table displays summary statistics. Panel A describes our bankruptcy-level dataset. Panel B describes our establishment-level dataset. See Section II for variable definitions. Panel B was estimated at a Federal Statistical Research Data Center under FSRDC Project Number 2910. (CBDRB-FY24-P2910-R11734 and CBDRB-FY26-P2910-R12910). Estimates have been rounded to four significant digits according to the disclosure avoidance practices in place at the Census Bureau.

	Mean	SD	P50
Panel A: Bankruptcy-Level Dataset (N = 16,094)			
Forum Shop	0.30	0.46	0.00
File in DE	0.14	0.35	0.00
Converted	0.14	0.35	0.00
Case Duration (Days)	1,041.02	1,168.81	624.00
Unsecured Recovery	0.92	0.27	1.00
Miles to DE	92.68	62.13	83.60
Log Miles to DE	4.31	0.70	4.43
Maryland HQ	0.20	0.40	0.00
New Jersey HQ	0.42	0.49	0.00
Pennsylvania HQ	0.38	0.49	0.00
Establishments - County	14,911.38	8,491.95	12,875.00
Employees - County	280,331.53	179,397.70	237,793.00
Establishment Entry Rate - County	9.87	1.54	9.85
Establishment Exit Rate - County	9.75	1.40	9.80
Hedgefund Investor	0.14	0.34	0.00
Panel B: Establishment-Level Dataset (N = 477,000)			
Employ_{t-1}	15.87	123.6	-
$\Delta\text{Employ}_{t-1 \to t+3}$	-1.08	9.991	-
Employ_{t-1} | existing t-1	26.65	159.3	-
$\Delta\text{Employ}_{t-1 \to t+3}$ | existing t-1	-3.887	10.75	-
Inactive_{t+3} | existing t-1	0.3778	0.4848	-

Table 2: First Stage: Proximity to Delaware Predicts Forum Shopping

This table displays estimates from OLS regressions in which the dependent variable is an indicator for forum shopping to Delaware. The independent variable is the logarithm of the straight-line distance, in miles, between the bankrupt firm's headquarters ZIP code and the Delaware bankruptcy court. In column 1, each observation is an establishment. We include establishment-state-by-filing-year fixed effects, county-year proxies for economic activity, 3-digit-NAICS-by-filing-year fixed effects, and legal-status-by-filing-year fixed effects. We cluster standard errors by firm. In columns 2-3, each observation is a bankruptcy. We include headquarter-state-by-filing-year fixed effects and county-year proxies for economic activity. In column 3, we add interacted fixed effects for (i) the total assets of the bankrupt firm, (ii) the total liabilities of the bankrupt firm, and (iii) the total number of creditors of the bankrupt firm, as reported in bins on the bankruptcy filing petition. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively. Column 1 was estimated at a Federal Statistical Research Data Center under FSRDC Project Number 2910. (CBDRB-FY24-P2910-R11734 and CBDRB-FY26-P2910-R12910). Estimates have been rounded to four significant digits according to the disclosure avoidance practices in place at the Census Bureau.

	File in DE		
	(1)	(2)	(3)
Log Miles to DE	-0.1470***	-0.0723***	-0.0409***
	(0.0236)	(0.0150)	(0.0118)
State X Year FE	Y	Y	Y
Controls	Y	Y	Y
NAICS X Year FE	Y	N	N
Assets X Liab X Creditors FE	N	N	Y
Unit of Observation	Estab	Case	Case
Observations	477,000	16,091	9,536
Instrument F-Stat	28.21	23.34	11.99

Table 3: Forum Shopping Increases Post-Bankruptcy Employment

This table displays estimates from OLS and 2SLS regressions in which the dependent variable is the post-bankruptcy change in employment. Each observation is an establishment of a firm filing for bankruptcy in year t. In columns 1 and 2, the outcome is Δ Employ$_{t-1 \to t+3}$, defined as the change in employment from year $t-1$ to year $t+3$. We set employment equal to zero in any year in which the establishment is inactive. In column 3, the outcome is the industry-adjusted change, Δ Adj. Employ$_{t-1 \to t+3}$, defined as in Figure 1. The independent variable is an indicator for forum shopping to Delaware. Column 1 displays estimates from an OLS regression of Δ Employ$_{t-1 \to t+3}$ on this forum shopping indicator. Column 2 displays the corresponding 2SLS estimate—we instrument for forum shopping using the distance instrument described in Table 2. Column 3 mirrors column 2 using Δ Adj. Employ$_{t-1 \to t+3}$ as the outcome. In all columns, the specification mirrors the first-stage specification from column 1 of Table 2. We cluster standard errors by firm. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively. This table was estimated at a Federal Statistical Research Data Center under FSRDC Project Number 2910. (CBDRB-FY26-P2910-R12910). Estimates have been rounded to four significant digits according to the disclosure avoidance practices in place at the Census Bureau.

	ΔEmploy$_{t-1 \to t+3}$		ΔAdj. Employ$_{t-1 \to t+3}$
	(1)	(2)	(3)
File in DE	-0.479	8.009***	6.627***
	(0.604)	(2.895)	(2.520)
State X Year FE	Y	Y	Y
Controls	Y	Y	Y
NAICS X Year FE	Y	Y	Y
Estimator	OLS	2SLS	2SLS
Observations	477,000	477,000	477,000

Table 4: Forum Shopping Prevents Liquidation and Establishment Closure

This table displays estimates from OLS and 2SLS regressions in which the dependent variable is an indicator for conversion to Chapter 7 liquidation or an indicator for establishment closure. The independent variable is an indicator for forum shopping to Delaware. In columns 2, 4, and 6, we instrument for forum shopping using the distance instrument described in Table 2. In columns 1-4, each observation is a bankruptcy. The outcome is conversion to Chapter 7. In columns 1-2, the specification mirrors the first-stage specification from column 2 of Table 2. In columns 3-4, we add interacted fixed effects for firm financial variables, mirroring the specification from column 3 of Table 2. In columns 1-4, we cluster standard errors at the headquarter-ZIP-code-by-filing-year level. In columns 5 and 6, each observation is an establishment of a firm filing for bankruptcy in year t. The outcome is an indicator equal to one if the establishment is inactive in year $t+3$. In columns 5 and 6, the specification mirrors the first-stage specification from column 1 of Table 2, and we cluster standard errors by firm. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively. Columns 5 and 6 were estimated at a Federal Statistical Research Data Center under FSRDC Project Number 2910. (CBDRB-FY24-P2910-R11734 and CBDRB-FY26-P2910-R12910). Estimates have been rounded to four significant digits according to the disclosure avoidance practices in place at the Census Bureau.

	Convert to 7				Inactive	
	(1)	(2)	(3)	(4)	(5)	(6)
File in DE	0.005	-0.313***	0.007	-1.064***	-0.029	-0.298**
	(0.028)	(0.119)	(0.031)	(0.362)	(0.039)	(0.129)
State X Year FE	Y	Y	Y	Y	Y	Y
Controls	Y	Y	Y	Y	Y	Y
NAICS X Year FE	N	N	N	N	Y	Y
Assets X Liab X Creditors FE	N	N	Y	Y	N	N
Unit of Observation	Case	Case	Case	Case	Estab	Estab
Estimator	OLS	2SLS	OLS	2SLS	OLS	2SLS
Observations	16,062	16,062	9,536	9,536	477,000	477,000

Table 5: Forum Shopping Improves Recovery and Reduces Case Duration

This table displays estimates from OLS and 2SLS regressions in which the dependent variable is a measure of creditor recovery or case duration. Each observation is a bankruptcy. The independent variable is an indicator for forum shopping to Delaware. In columns 2, 3, 5, and 6, we instrument for forum shopping using the distance instrument described in Table 2. In columns 1-3, the outcome is an indicator for strictly positive unsecured creditor recovery. In columns 4-6, the outcome is the logarithm of case duration, measured in days. In columns 1, 2, 4, and 5, the specification mirrors the first-stage specification from column 2 of Table 2. In columns 3 and 6, we add interacted fixed effects for firm financial variables, mirroring the specification from column 3 of Table 2. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Unsecured Recovery			Log Duration		
	(1)	(2)	(3)	(4)	(5)	(6)
File in DE	0.01	0.29*	0.54***	0.82***	-2.03***	-4.38***
	(0.04)	(0.17)	(0.20)	(0.08)	(0.73)	(1.53)
State X Year FE	Y	Y	Y	Y	Y	Y
County-Year Controls	Y	Y	Y	Y	Y	Y
Assets X Liab X Creditors FE	N	N	Y	N	N	Y
Estimator	OLS	2SLS	2SLS	OLS	2SLS	2SLS
Observations	9,544	9,544	8,881	15,331	15,331	9,080

Table 6: Random Assignment to a Delaware-Like Judge Improves Outcomes

This table displays estimates from OLS regressions. Each observation is a bankruptcy filed outside Delaware. The key variable is the "Judge DE Gap," a measure of how closely a randomly assigned judge resembles the average Delaware judge. We construct this measure using a leave-one-out approach: for each judge in each court, we compute leave-one-out averages of conversion to Chapter 7, unsecured creditor recovery, and log case duration. We then calculate the absolute difference between each leave-one-out average and the corresponding average for Delaware cases. We also take the difference between the assigned judge's experience at the time of the case and the Delaware average. The Judge DE Gap is the first principal component of these four absolute differences. In column 1, the outcome is the Judge DE Gap itself, regressed on case controls to verify random assignment. In columns 2-4, the Judge DE Gap is the key independent variable and the outcomes are conversion to Chapter 7, log case duration, and an indicator for strictly positive unsecured creditor recovery, respectively. All regressions include filing-court-by-filing-office-by-filing-month fixed effects. We cluster standard errors at the judge level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Judge DE Gap	Convert to 7	Log Duration	Recovery
	(1)	(2)	(3)	(4)
Judge DE Gap		0.037***	0.220***	-0.011
		(0.009)	(0.053)	(0.010)
Establishments - County	0.000	-0.000	0.000	0.000
	(0.000)	(0.000)	(0.000)	(0.000)
Employees - County	0.000	0.000	-0.000	-0.000
	(0.000)	(0.000)	(0.000)	(0.000)
Estab. Entry Rate - County	-0.007	0.017***	0.041*	-0.005
	(0.017)	(0.006)	(0.023)	(0.006)
Estab. Exit Rate - County	-0.000	-0.005	-0.075**	0.001
	(0.017)	(0.006)	(0.029)	(0.009)
Hedgefund Investor	0.021	-0.029**	0.250***	-0.003
	(0.019)	(0.013)	(0.044)	(0.012)
Law Firm Experience	-0.000	-0.000	0.003**	-0.000
	(0.000)	(0.000)	(0.001)	(0.000)
Court Office X Month FE	Y	Y	Y	Y
Observations	11,163	11,139	10,647	7,167

Table 7: Forum Shopping Treatment Effects are Driven by Delaware Judge Characteristics

This table displays estimates from 2SLS regressions. Each observation is a bankruptcy. The independent variable is an indicator for forum shopping to Delaware, instrumented by the distance instrument described in Table 2. In column 1, the outcome is the Judge DE Gap of the assigned judge, defined as in Table 6. In columns 2 and 3, the outcome is an indicator for conversion to Chapter 7. Column 3 adds the Judge DE Gap as a control variable. All regressions include headquarter-state-by-filing-year fixed effects, county-year proxies for economic activity, the number of cases previously handled by the debtor's law firm, and an indicator for hedge fund investment prior to filing. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Judge DE Gap	Convert to 7	
	(1)	(2)	(3)
File in DE	-4.74***	-0.32**	-0.15
	(0.82)	(0.13)	(0.16)
Judge DE Gap			0.03***
			(0.01)
State X Year FE	Y	Y	Y
Observations	14,492	14,862	14,464

Table 8: Firms Forum Shop Less When Home-Court Caseloads Fall

This table displays estimates from OLS regressions in which the dependent variable is an indicator for forum shopping to Delaware. The independent variable is the interaction of (i) an indicator for the post-BAPCPA period (starting October 17, 2005) and (ii) the share of bankruptcies filed by nonbusiness debtors in 2003 in the home court corresponding to the debtor's headquarters county. The sample covers bankruptcies filed by firms headquartered in all states except Delaware over the period October 2004 to October 2006. All specifications include headquarter-state fixed effects, filing-year fixed effects, and county-year proxies for economic activity. In column 2, we add interacted fixed effects for firm financial variables. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE	
	(1)	(2)
Low Caseload Home Court	-0.0243*	-0.0339*
	(0.0131)	(0.0191)
State FE	Y	Y
Year FE	Y	Y
County-Year Controls	Y	Y
Assets X Liab X Creditors FE	N	Y
Observations	7,448	3,445
Adj. R^2	0.050	0.164

Supplementary Appendix

A Census Merge Details

We match the bankruptcy data to the Business Register (BR) using establishment addresses (mailing and physical), the Employer Identification Number (EIN), and the establishment name. After preprocessing the data, we define three matching scores based on (1) establishment names, (2) establishment addresses, and (3) the EIN. Each score ranges from zero to one, with higher values indicating more likely matches. We sum the three scores with equal weights, so that a perfect match has a score of three. We retain matches with the highest score and require the score to exceed 1.5.

The procedure is more likely to match a bankruptcy filing to an establishment when EINs are similar. However, we do not rely exclusively on EINs for two reasons. First, we cannot rule out errors in EINs reported in the bankruptcy data. Second, EINs can change over time. Overall, we match 66% of bankruptcy records to an establishment.

Once an establishment is matched to a bankruptcy filing, we use the BR to identify the firm that owns the establishment. We then collect all establishments in the BR associated with that firm and link them to the bankruptcy filing. In other words, if a bankruptcy involves one establishment of a firm, we assume that all establishments of that firm enter bankruptcy.

We observe the LBD through 2021. As a result, we exclude bankruptcy cases filed after 2018 to ensure three years of establishment-level data after filing. We also exclude the relatively few cases filed before 1990. Because we examine employment outcomes in the three years before and after the filing year, we use LBD data from 1987 to 2021.

We drop duplicates to avoid contamination in comparisons between firms that file in Delaware and those that do not. In particular, we exclude subsequent filings when a firm refiles for bankruptcy within three years of the initial filing. To prevent contamination of the control group, we also drop establishments that are sold to firms that file for bankruptcy in subsequent years.

B Placebo Test Details

We construct a placebo sample to assess robustness and test whether our estimates are driven by unobserved local economic conditions. For each bankrupt establishment in the baseline sample, we randomly select an establishment from the LBD in the same ZIP code, measured in the year before the bankruptcy filing, and assign it the same bankruptcy characteristics. We then clean the data in a manner similar to the baseline sample using this set of placebo establishments.

We sample establishments randomly within ZIP codes rather than matching on observables because matching quality would vary mechanically with local firm density. In densely populated ZIP codes, there are many potential matches, allowing for close matches on observables. In less populated ZIP codes, the pool is much smaller, which would force poorer matches and make the control group less consistent across locations. Random sampling within ZIP codes avoids this issue. It ensures that treated establishments are compared with others from the same local environment, preserves comparable geographic exposure, and prevents large cities from disproportionately driving the quality of the counterfactual.

C Additional Results

Figure SA.1: Dynamic Effects of Home-Court Caseloads on Forum Shopping

This figure displays OLS estimates from a dynamic version of the regression in Table 8. The sample covers bankruptcies filed by firms headquartered in all states except Delaware over the period October 17, 2004 to October 17, 2006. We partition the sample into one-half-year bins—October 17, 2004 to April 17, 2005; April 17, 2005 to October 17, 2005 (the reference period); October 17, 2005 to April 17, 2006; and April 17, 2006 to October 17, 2006—and interact an indicator for each non-reference bin with the share of bankruptcies filed by nonbusiness debtors in 2003 in the home court corresponding to the debtor's headquarters county. The reference period (April 17, 2005 to October 17, 2005) is normalized to zero and displayed as a diamond. The specification includes headquarter-state fixed effects, filing-year fixed effects, and county-year proxies for economic activity. We cluster standard errors at the headquarter-ZIP-code-by-filing-year level. Error bars display 90% confidence intervals.

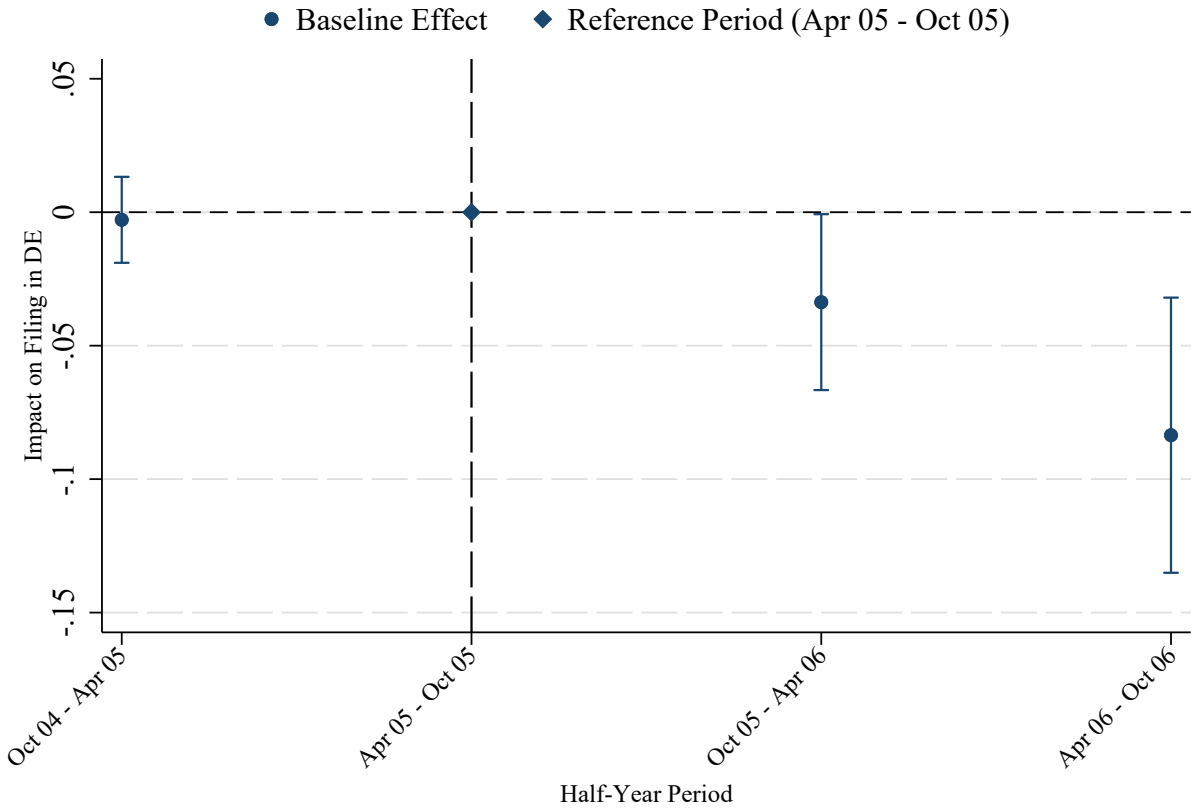


Figure SA.2: Forum Shopping Rates Are Stable Over Time

This figure plots the rate of forum shopping and the share of forum-shopped cases filed in Delaware over time. We group cases into five-year bins: for each $T \in \{1995, 2000, 2005, 2010, 2015, 2020\}$, we include filings from year $T-2$ to year $T+2$. The blue dots plot averages based on the full sample of 155,059 corporate bankruptcies. The red dots plot averages based on the main sample of 16,094 cases filed by firms headquartered in Delaware-neighboring states. Panel A plots the share of forum-shopped bankruptcies on the y axis for each bin on the x axis. Panel B restricts to forum-shopped bankruptcies and plots the share filed in Delaware on the y axis for each bin on the x axis.

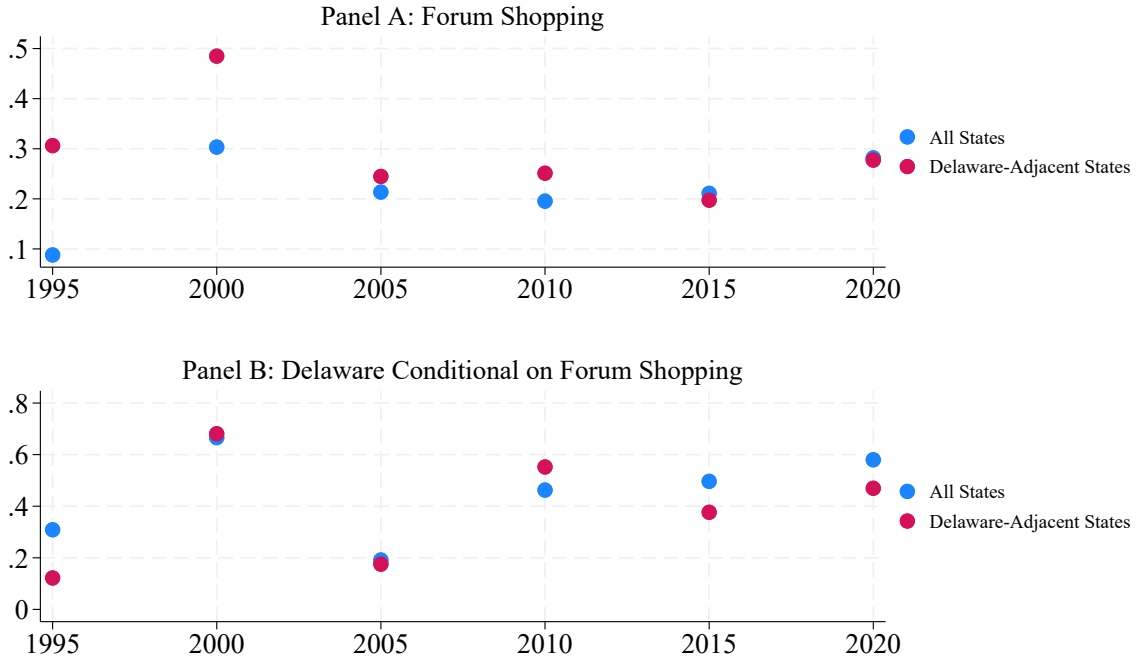
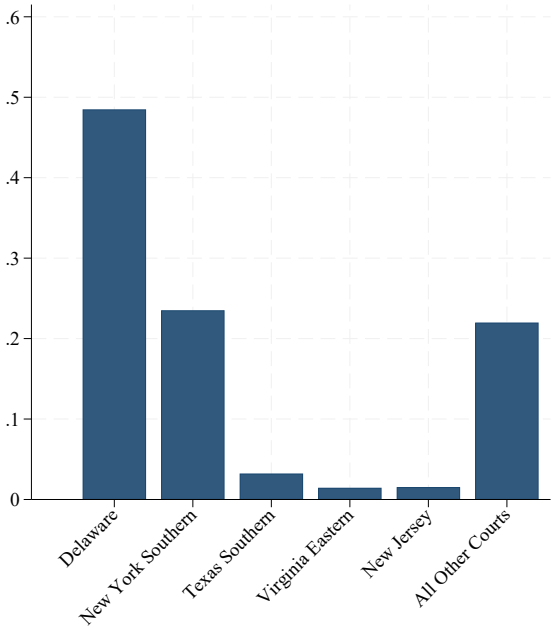
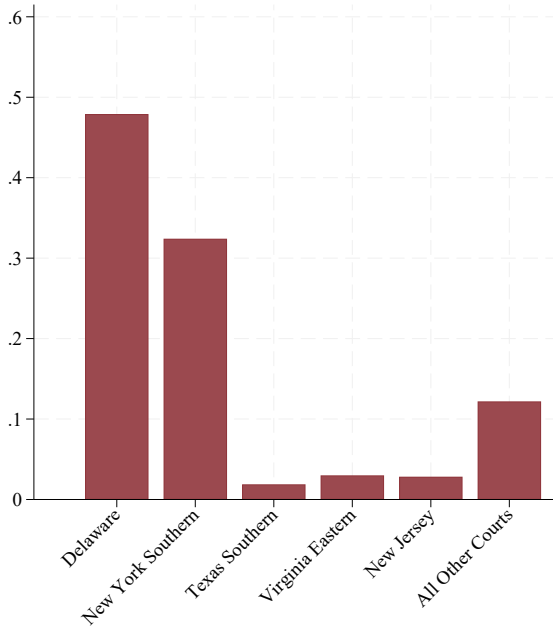


Figure SA.3: Delaware Is the Dominant Forum Shopping Destination

This figure displays the distribution of filing courts among forum-shopped bankruptcies. Panel A uses the full sample of 155,059 corporate bankruptcies. Among forum-shopped cases, it plots the fraction filed in each of five courts: Delaware, New York Southern, Texas Southern, Virginia Eastern, and New Jersey, with remaining courts grouped into a sixth "Other" category. Panel B repeats the same exercise restricting to firms headquartered in Delaware-adjacent states (Maryland, New Jersey, and Pennsylvania).



Panel A: Headquartered in Any State



Panel B: Headquartered in Delaware-Adjacent State

Figure SA.4: Histogram of Total Liabilities

This figure displays the distribution of total liabilities across bankruptcies in the main sample of 16,094 corporate bankruptcies, as reported on the bankruptcy filing petition. The y axis shows the fraction of cases in each total-liabilities bin shown on the x axis.

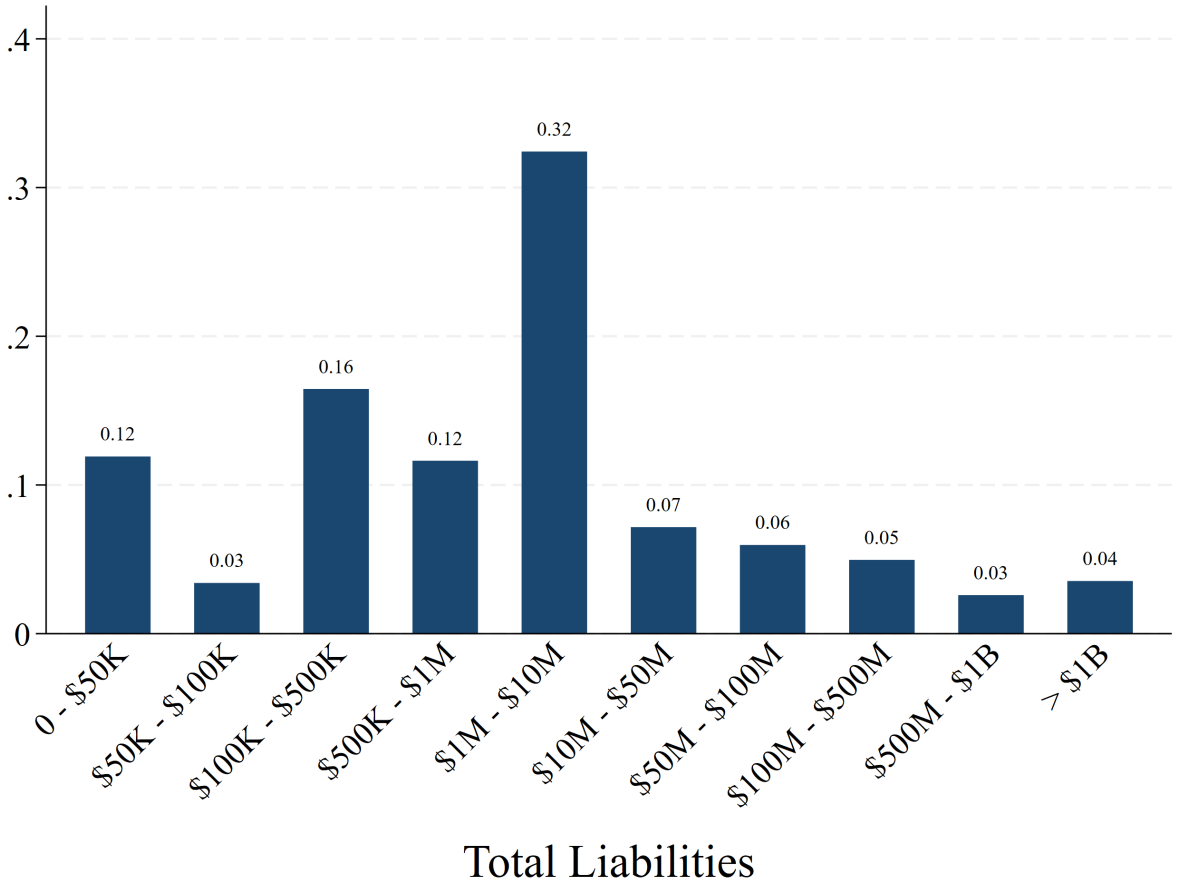


Figure SA.5: Histogram of Total Assets

This figure displays the distribution of total assets across bankruptcies in the main sample of 16,094 corporate bankruptcies, as reported on the bankruptcy filing petition. The y axis shows the fraction of cases in each total-assets bin shown on the x axis.

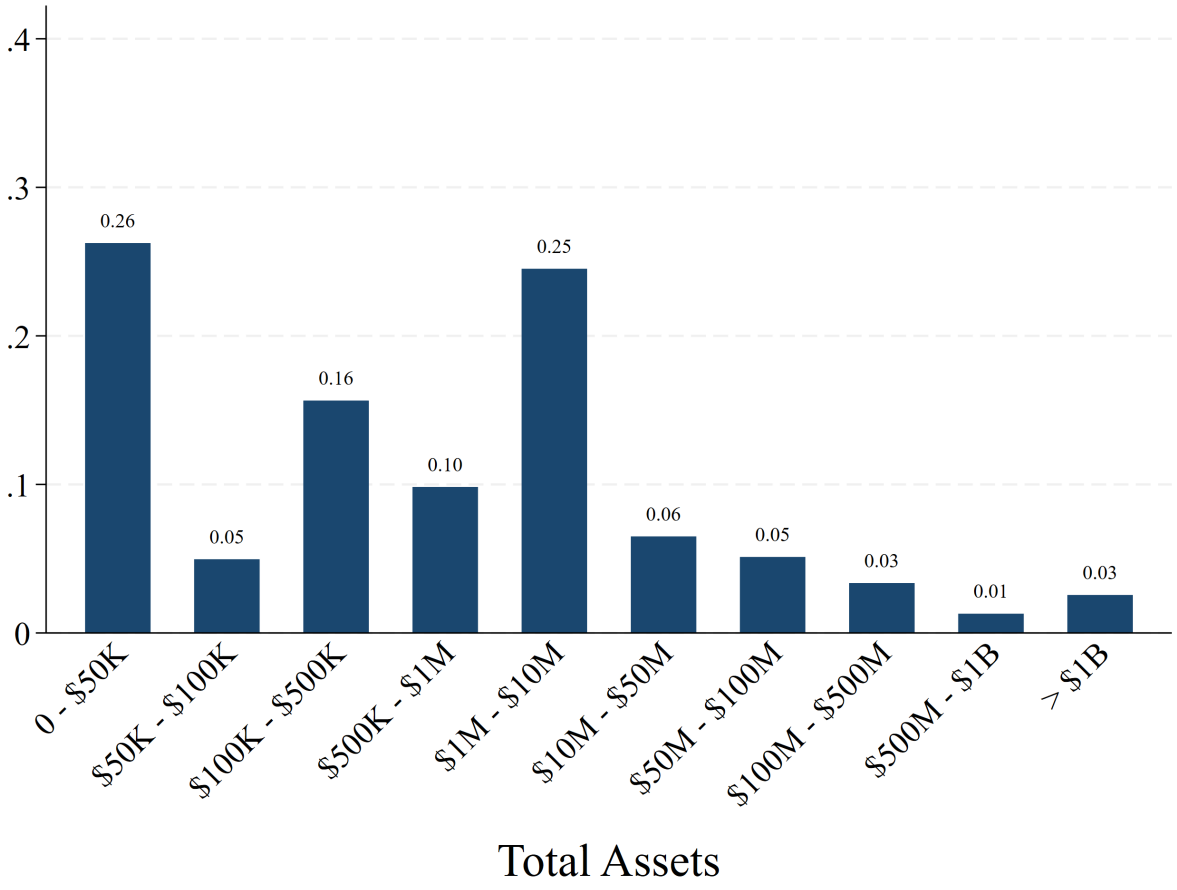


Figure SA.6: Histogram of Number of Creditors

This figure displays the distribution of the number of creditors across bankruptcies in the main sample of 16,094 corporate bankruptcies, as reported on the bankruptcy filing petition. The y axis shows the fraction of cases in each creditor-count bin shown on the x axis.

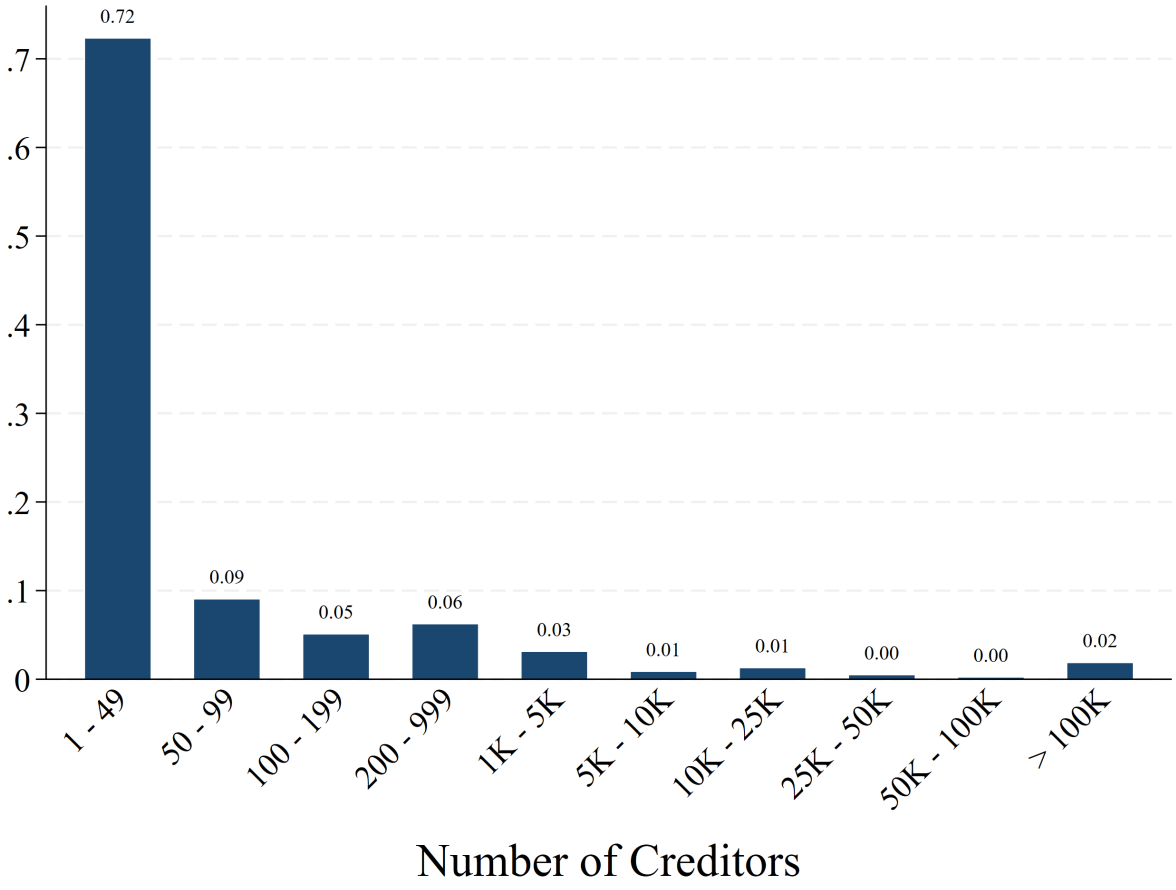


Figure SA.7: Forum Shopping Declines Monotonically with Distance to Delaware

This figure uses a bin scatter to show that the propensity to forum shop declines monotonically with the distance to Delaware. We residualize File in DE with respect to controls by estimating equation (3), excluding Log Miles to DE, and obtaining residuals. We add the sample mean of File in DE to each residual. We use an analogous process to residualize Log Miles to DE. We then add the sample mean of Log Miles to DE to each residual. We form bins based on the residualized value of Log Miles to DE. The first bin is centered at the 5th percentile in the sample, the last bin is centered at approximately the 95th percentile. For each bin, we calculate the average value of the residualized File in DE variable. We calculate the standard error of this average, ignoring the estimation error in the calculation of residuals. Each dot corresponds to the average value of File in DE, on the y axis, for the bin indicated on the x axis. We use standard errors to construct 95% confidence intervals, which are shown in red.

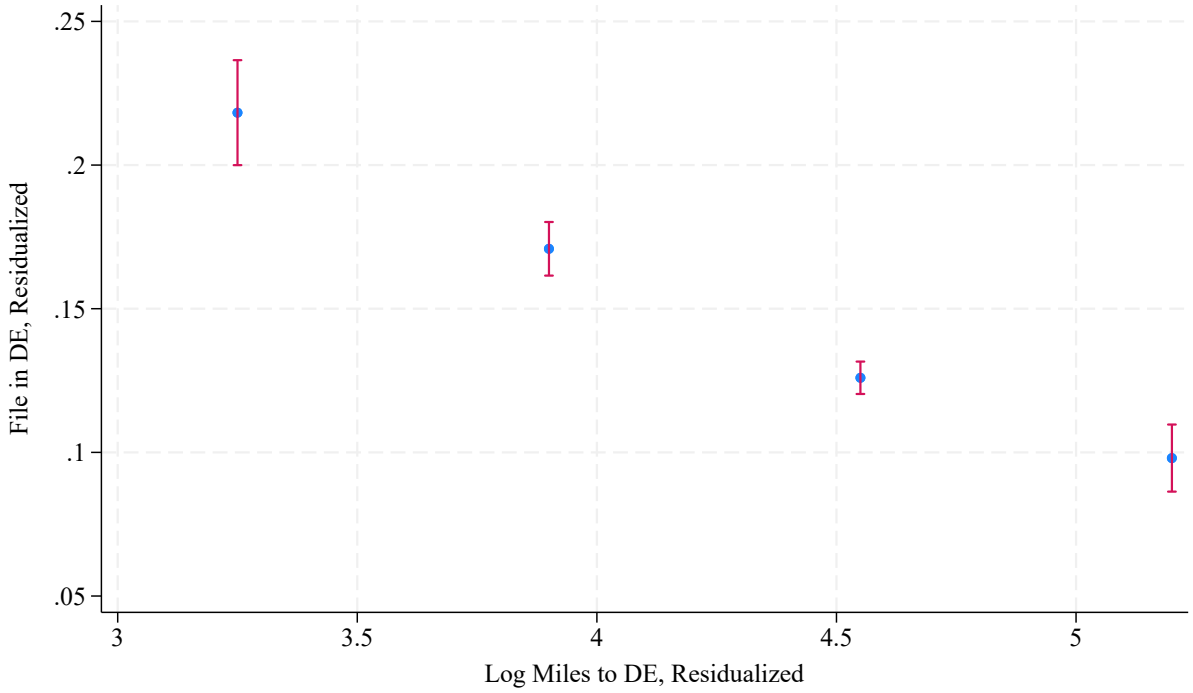


Figure SA.8: Leverage Is Not Systematically Varying with Distance

This figure uses a bin scatter to show that leverage is uncorrelated with distance to Delaware, conditional on controls. We residualize firm leverage with respect to the controls from equation (3), excluding Log Miles to DE, and add the sample mean of leverage to each residual. We use an analogous process to residualize Log Miles to DE. We form bins based on the residualized value of Log Miles to DE, with the first bin centered at the 5th percentile and the last bin centered at approximately the 95th percentile. Each dot corresponds to the average residualized leverage, on the y axis, for the bin indicated on the x axis. We use standard errors to construct 95% confidence intervals, which are shown in red.

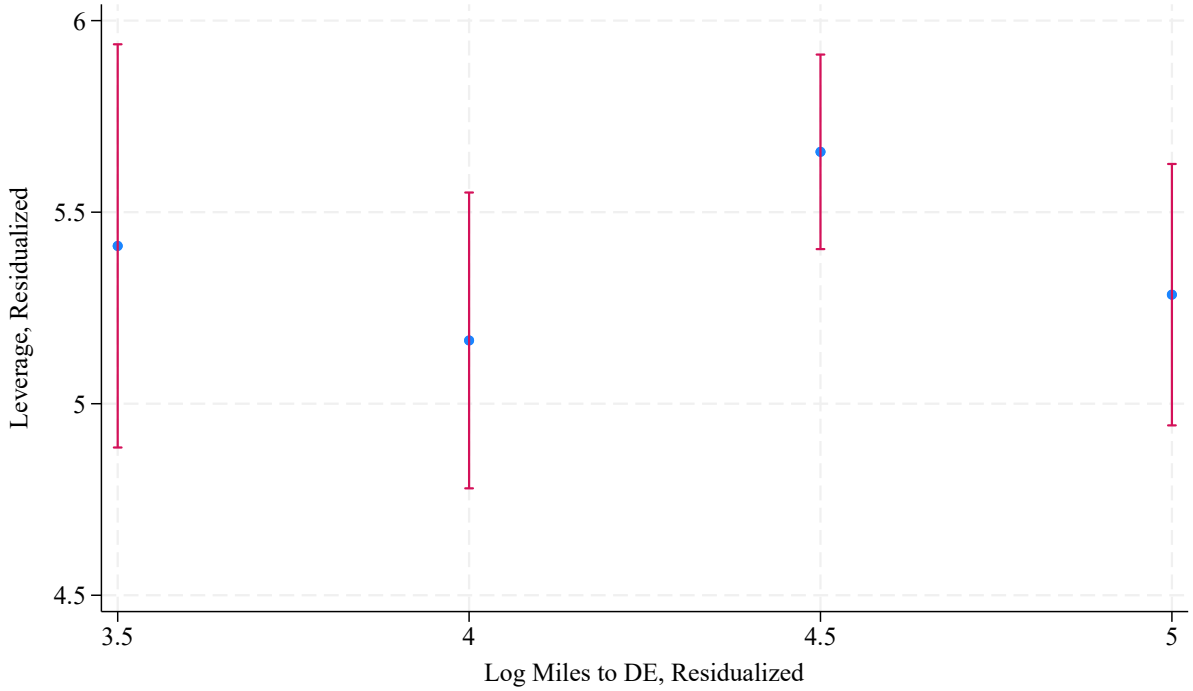


Table SA.1: First Stage by Size

This table replicates the bankruptcy-level first-stage regression from column 2 of Table 2, splitting the sample by firm size. Column 1 includes only firms with $0 to $10 million in liabilities. Column 2 includes only firms with $10 to $500 million in liabilities. Column 3 includes only firms with over $500 million in liabilities. See Table 2 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE		
	(1)	(2)	(3)
Log Miles to DE	-0.0365***	-0.1301***	-0.0902
	(0.0128)	(0.0425)	(0.0979)
State X Year FE	Y	Y	Y
Controls	Y	Y	Y
NAICS X Year FE	N	N	N
Unit of Observation	Case	Case	Case
Sample (Liabilities)	0 to 10 Mil	10 Mil to 500 Mil	over 500 Mil
Observations	7,607	1,816	612

Table SA.2: First Stage by Leverage

This table replicates the bankruptcy-level first-stage regression from column 2 of Table 2, splitting the sample by pre-filing leverage. Columns correspond to low-, medium-, and high-leverage terciles. See Table 2 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE		
	(1)	(2)	(3)
Log Miles to DE	-0.0147*	-0.0192**	-0.0387**
	(0.0087)	(0.0091)	(0.0154)
State X Year FE	Y	Y	Y
Controls	Y	Y	Y
Assets X Liab X Creditors FE	N	N	N
Leverage	Low	Mid	High
Observations	2,085	2,083	2,084

Table SA.3: Alternative Instrument Definitions: Commute Times and Relative Court Distances

This table replicates our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4) using two alternative instrument definitions. Columns 1 and 4 reproduce the baseline log straight-line distance instrument. Columns 2 and 5 use a relative-distance instrument defined as the distance to the Delaware court minus the distance to the nearest bankruptcy court in the firm's home state. Columns 3 and 6 use the logarithm of commute time in minutes, computed via HERE Maps as the minimum travel time across all standard commuting modes. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE			Convert to 7		
	(1)	(2)	(3)	(4)	(5)	(6)
Log Miles to DE	-0.0723***					
	(0.0150)					
Relative Distance		-0.0006***				
		(0.0002)				
Log Commute Time			-0.0806***			
			(0.0170)			
File in DE				-0.3128***	-0.3797*	-0.3036**
				(0.1185)	(0.1954)	(0.1244)
State X Year FE	Y	Y	Y	Y	Y	Y
Controls	Y	Y	Y	Y	Y	Y
Unit of Observation	Case	Case	Case	Case	Case	Case
Instrument	Base	Rel	Commute	Base	Rel	Commute
Observations	16,091	16,091	16,056	16,062	16,062	16,028

Table SA.4: Alternative Instrument Definition: Linear Distance

This table replicates our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4) using straight-line distance in miles rather than log distance as the instrument. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE		Convert to 7	
	(1)	(2)	(3)	(4)
Log Miles to DE	-0.0723***			
	(0.0150)			
Miles to DE		-0.0006***		
		(0.0001)		
File in DE			-0.3128***	-0.3048*
			(0.1185)	(0.1725)
State X Year FE	Y	Y	Y	Y
Controls	Y	Y	Y	Y
Assets X Liab X Creditors FE	N	N	N	N
Estimator	OLS	OLS	2SLS	2SLS
Observations	16,091	16,091	16,062	16,062
Instrument F-Stat	23.34	14.61		

Table SA.5: Controlling for State of Incorporation

This table shows that the main results are robust to controlling for state of incorporation. Column 1 estimates the first-stage regression from column 2 of Table 2 replacing the dependent variable with an indicator for "domestic" firms—those incorporated in the same state as their headquarters—verifying that distance is uncorrelated with incorporation status. Columns 2 and 3 replicate our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4) adding the domestic-firm indicator as a control. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Domestic	File in DE	Convert to 7
	(1)	(2)	(3)
Log Miles to DE	0.0097	-0.0486***	
	(0.0100)	(0.0113)	
Domestic		-0.2199***	-0.1292**
		(0.0219)	(0.0523)
File in DE			-0.6999***
			(0.2196)
State X Year FE	Y	Y	Y
Controls	Y	Y	Y
Unit of Observation	Case	Case	Case
Observations	7,081	7,081	7,081

Table SA.6: Controlling for Law Firm Characteristics

This table replicates our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4) adding controls for law firm characteristics: the number of cases previously handled by the debtor's law firm and fixed effects for the 20 most common law firms. We limit the sample to cases in which we observe the debtor's law firm. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE			Convert to 7		
	(1)	(2)	(3)	(4)	(5)	(6)
Log Miles to DE	-0.08***	-0.06***	-0.04***			
	(0.02)	(0.01)	(0.01)			
Law Firm Experience		0.00***			0.00*	
		(0.00)			(0.00)	
File in DE				-0.27**	-0.32**	-0.60**
				(0.11)	(0.13)	(0.26)
State X Year FE	Y	Y	Y	Y	Y	Y
Controls	Y	Y	Y	Y	Y	Y
Assets X Liab X Creditors FE	N	N	N	N	N	N
Top 20 Law Firm FE	N	N	Y	N	N	Y
Estimator	OLS	OLS	OLS	2SLS	2SLS	2SLS
Observations	14,890	14,890	14,890	14,862	14,862	14,862

Table SA.7: Excluding Major Cities

This table replicates our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4), addressing the concern that the distance instrument may capture proximity to major cities. Columns 1 and 4 reproduce the baseline. Columns 2 and 5 add a binary indicator for the counties containing Philadelphia, Newark, and Baltimore. Columns 3 and 6 exclude those counties entirely. See Table 2 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE			Convert to 7		
	(1)	(2)	(3)	(4)	(5)	(6)
Log Miles to DE	-0.0723***	-0.0767***	-0.0761***			
	(0.0150)	(0.0147)	(0.0144)			
File in DE				-0.3128***	-0.3060***	-0.3130***
				(0.1185)	(0.1066)	(0.1078)
State X Year FE	Y	Y	Y	Y	Y	Y
Controls	Y	Y	Y	Y	Y	Y
Unit of Observation	Case	Case	Case	Case	Case	Case
Observations	16,091	16,091	14,145	16,062	16,062	14,117

Table SA.8: Controlling for Distance to NYC

This table replicates our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4), addressing the concern that proximity to the large financial center in New York City may explain our results. Columns 1 and 4 reproduce the baseline. Columns 2 and 5 add the linear distance, in miles, between the firm's headquarters and New York City. Columns 3 and 6 add the logarithm of the distance to New York City. See Table 2 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE			Convert to 7		
	(1)	(2)	(3)	(4)	(5)	(6)
Log Miles to DE	-0.072***	-0.088***	-0.072***			
	(0.015)	(0.020)	(0.015)			
Miles to NYC		0.000			0.000	
		(0.000)			(0.000)	
Log Miles to NYC			-0.008			-0.013
			(0.013)			(0.010)
File in DE				-0.313***	-0.306**	-0.324***
				(0.119)	(0.144)	(0.122)
State X Year FE	Y	Y	Y	Y	Y	Y
Controls	Y	Y	Y	Y	Y	Y
Observations	16,091	16,091	16,091	16,062	16,062	16,062

Table SA.9: Controlling for Prior Establishment Presence in Delaware

This table replicates the establishment-level first-stage (column 1 of Table 2) and 2SLS regressions (columns 2 and 3 of Table 3) adding a fixed effect for whether the bankrupt firm operated an establishment in Delaware three years prior to filing. This control ensures the distance instrument does not simply capture firms' pre-existing operational presence in Delaware. Column 1 shows the first stage. Column 2 shows 2SLS estimates using Δ Employ$_{t-1 \to t+3}$ as the outcome. Column 3 uses the industry-adjusted change Δ Adj. Employ$_{t-1 \to t+3}$. See Table 3 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively. This table was estimated at a Federal Statistical Research Data Center under FSRDC Project Number 2910. (CBDRB-FY26-P2910-R12910). Estimates have been rounded to four significant digits according to the disclosure avoidance practices in place at the Census Bureau.

	(a7)	(a8)	(a9)
Dependent variable	File in DE	Δ Employ$_{t-1 \to t+3}$	Δ Adj. Employ$_{t-1 \to t+3}$
Log Miles to DE	-0.149***		
	(0.0238)		
File in DE		7.468***	6.217**
		(2.835)	(2.482)
Observations	477,000	477,000	477,000
State X Year FE	Y	Y	Y
Initial Presence in DE FE	Y	Y	Y
Controls	Y	Y	Y
NAICS X Year FE	Y	Y	Y

Table SA.10: Summary Statistics, Full Sample Versus Three-State Sample

This table displays means for the full sample of 155,059 corporate bankruptcies (column 1) and for our main three-state sample of bankruptcies filed by firms headquartered in Maryland, New Jersey, or Pennsylvania (column 2).

	All States Mean	Delaware Neighboring States Mean
Forum Shop	0.22	0.30
File in DE	0.11	0.14
Converted	0.12	0.14
Case Duration (Days)	903.03	1,041.02
Unsecured Recovery	0.93	0.92
Establishments - County	35,408.92	14,911.38
Employees - County	684,153.84	280,331.53
Establishment Entry Rate - County	11.04	9.87
Establishment Exit Rate - County	10.50	9.75
Hedgefund Investor	0.13	0.14

Table SA.11: Additional Leverage Controls

This table replicates our first-stage regression (column 3 of Table 2) and 2SLS regression (column 4 of Table 4) adding controls for exact financial values. All columns include the interacted assets-by-liabilities-by-number-of-creditors fixed effects from the most saturated main-text specifications. Columns 2 and 4 additionally control for the actual values (winsorized at the 10th and 90th percentiles) of leverage, log book assets, and log book liabilities, obtained from the FJC. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE		Convert to 7	
	(1)	(2)	(3)	(4)
Log Miles to DE	-0.0165***	-0.0167***		
	(0.0053)	(0.0053)		
Leverage		0.0006		0.0005
		(0.0009)		(0.0026)
Log(Assets)		0.0009		-0.0192
		(0.0047)		(0.0145)
Log(Liabilities)		0.0077*		0.0560***
		(0.0041)		(0.0155)
File in DE			-2.6124**	-2.5656**
			(1.0950)	(1.0678)
State X Year FE	Y	Y	Y	Y
Controls	Y	Y	Y	Y
Assets X Liab X Creditors FE	Y	Y	Y	Y
Estimator	OLS	OLS	2SLS	2SLS
Observations	5,797	5,797	5,797	5,797
Instrument F-Stat	9.85	10.06		

Table SA.12: Financial Variables Are Uncorrelated with Distance

This table verifies that financial variables are uncorrelated with the distance instrument, conditional on controls. Each column estimates the first-stage specification from column 3 of Table 2 replacing the dependent variable with a different financial characteristic from the bankruptcy filing petition (e.g., leverage, log assets, log liabilities). *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Leverage	Log(Assets)	Log(Liabilities)
	(1)	(2)	(3)
Log Miles to DE	0.0049	0.0222	0.0214
	(0.1847)	(0.0306)	(0.0217)
State X Year FE	Y	Y	Y
Controls	Y	Y	Y
Assets X Liab X Creditors FE	Y	Y	Y
Observations	5,797	5,797	5,797

Table SA.13: ZIP Code Clustering

This table replicates our first-stage regression (columns 2 and 3 of Table 2) and 2SLS regression (columns 2 and 4 of Table 4) clustering standard errors by ZIP code rather than by headquarter-ZIP-code-by-filing-year. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE		Convert to 7	
	(1)	(2)	(3)	(4)
Log Miles to DE	-0.0723***	-0.0409***		
	(0.0145)	(0.0114)		
File in DE			-0.3128***	-1.0642***
			(0.1141)	(0.3559)
State X Year FE	Y	Y	Y	Y
Controls	Y	Y	Y	Y
Assets X Liab X Creditors FE	N	Y	N	Y
Estimator	OLS	OLS	2SLS	2SLS
Observations	16,091	9,536	16,062	9,536
Instrument F-Stat	24.69	12.85		

Table SA.14: Conditional Logistic Regression

This table replicates our first-stage regression (column 2 of Table 2) and the reduced-form second stage of our 2SLS regression using a conditional logistic regression in place of 2SLS, accounting for the binary nature of the Delaware-filing indicator and the conversion-to-Chapter-7 outcome. We cluster standard errors at the headquarters-state-by-filing-year level to match the fixed effects. Results are quantitatively similar to the baseline 2SLS estimates. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE	Convert to 7
	(1)	(2)
Log Miles to DE	-0.7024***	0.2081***
	(0.1853)	(0.0727)
State X Year FE	Y	Y
Controls	Y	Y
Observations	15,361	15,292

Table SA.15: LATE Versus ATE, Roy Model Estimates

This table reports average treatment effect (ATE) and local average treatment effect (LATE) estimates from a parametric normal Roy model, estimated by local IV using the Stata command *mtefe*. The table reports the treatment effects of forum shopping on conversion rates. The Roy model extrapolates beyond the local average treatment effect (LATE) identified by the distance instrument by comparing treatment effects across strong and marginal compliers. All specifications include county-year proxies for local economic activity, state-by-year fixed effects, and interacted fixed effects for firm financial characteristics, similar to column 4 of Table 4. Standard errors are clustered at the ZIP-code-by-filing-year level and ignore estimation error in the propensity scores and integration weights used to calculate the ATE and LATE. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

LATE	-0.361**
	(0.149)
ATE	-1.044***
	(0.362)
Observations	8,390

Table SA.16: Anderson Rubin Confidence Intervals

This table reports Anderson–Rubin 95% confidence intervals for the 2SLS estimates from column 2 of Table 4, column 2 of Table 5, and column 4 of Table 5. Anderson–Rubin intervals are valid under weak instruments. See Tables 4 and 5 for further details.

Convert to 7	[-.635488,-.111718]
Log(Duration)	[-4.35316,-.970996]
Unsecured Recovery	[.023888, ...]

Table SA.17: Judge Treatment Effects Across the Country

This table replicates the judge treatment-effect regressions from Table 6 extending the sample to all states (excluding Delaware cases). Because cleaning law firm names for all states requires substantial manual effort, this specification omits the law-firm-experience control. Results are similar to those in Table 6, supporting the external validity of our findings. We cluster standard errors at the judge level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Convert to 7	Log Duration	Recovery
	(1)	(2)	(3)
Judge DE Gap	0.018***	0.114***	0.002
	(0.004)	(0.019)	(0.002)
Court Office X Filing Month FE	Y	Y	Y
Observations	111,430	105,421	75,284

Table SA.18: CSA by State FE

This table replicates our first-stage regression (column 2 of Table 2) and 2SLS regression (column 2 of Table 4) adding combined statistical area (CSA)-by-state fixed effects. This specification compares firms within tighter geographic areas, further addressing the concern that the distance instrument captures unobserved local economic conditions. We limit the sample to cases in which our linking table identifies the CSA. See Tables 2 and 4 for further details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE		Convert to 7
	(1)	(2)	(3)
Log Miles to DE	-0.0736***	-0.1320***	
	(0.0152)	(0.0401)	
File in DE			-0.3433*
			(0.2064)
Fixed Effects	Usual	Usual + CSA X State	Usual + CSA X State
Observations	15,491	15,491	15,463

Table SA.19: Heterogeneity by Home State E[DE Judge Gap]

This table examines heterogeneity in forum-shopping behavior and treatment effects by the average Judge DE Gap of firms' home courts. Column 1 estimates the first-stage regression from Table 2 adding the average Judge DE Gap of the firm's home court as a regressor, showing that firms forum shop less when their home court is more Delaware-like. We exclude state-by-year fixed effects, as those would absorb all of the variation in the key regressor, including year fixed effects instead. Columns 2 and 3 replicate the 2SLS regression from column 2 of Table 4 splitting the sample by state: column 2 excludes New Jersey (the state with the lowest average home-court DE gap) and column 3 excludes Pennsylvania (the state with the highest). See Tables 2 and 4 for further details. Standard errors are clustered at the ZIP-code-by-filing-year level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE	Convert to 7	
	(1)	(2)	(3)
Mean DE Gap in Home Court	0.21***		
	(0.08)		
File in DE		-0.30***	0.04
		(0.11)	(0.88)
Year FE	Y	Y	Y
State X Year FE	N	Y	Y
Controls	Y	Y	Y
Estimator	OLS	2SLS	2SLS
Sample	Main 3 States	High DE Gap	Low DE Gap
Observations	16,094	9,359	9,903

Table SA.20: Firms Forum Shop Less When Home-Court Caseloads Fall: Longer Sample

This table replicates Table 8 using a longer sample period. The sample covers bankruptcies filed by firms headquartered in all states except Delaware over the period October 2003 to October 2007. See Table 8 for details. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	File in DE	
	(1)	(2)
Low Caseload Home Court	-0.0259*	-0.0390**
	(0.0143)	(0.0194)
State FE	Y	Y
Year FE	Y	Y
County-Year Controls	Y	Y
Assets X Liab X Creditors FE	N	Y
Observations	17,158	6,076
Adj. R^2	0.051	0.133

Table SA.21: Ruling out Specific Threats to the Exclusion Restriction

Concern	Evidence Against This Concern
Firms near Delaware hire fancier or more experienced law firms that achieve better outcomes regardless of the chosen court.	**Table SA.6:** Results are robust to controlling for law-firm experience and fixed effects for the top 20 law firms. **Pre-trend placebo (Figure 1):** No differential pre-bankruptcy employment trends for firms near Delaware. **Judge quality controls (Table 7):** Effect shrinks to insignificance when controlling for judge quality, inconsistent with a law-firm story. **Within-court Delaware-like judge experiment (Section IV.A):** Random assignment to Delaware-like judges improves outcomes independently of any law-firm selection. **Table SA.8:** Results are robust to controlling for distance to New York City, home to major law firms.
Firms near Delaware are in different industries with inherently higher reorganization rates.	**Specification:** Industry-by-year fixed effects and industry-adjusted employment outcomes ensure comparisons are within industry. **Table SA.12:** Financial variables are uncorrelated with distance, conditional on controls. **Pre-trend placebo (Figure 1):** No differential pre-bankruptcy employment trends, ruling out industry-driven growth differences. **ZIP-code placebo (Figure 1):** Never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show no differential dynamics, inconsistent with an industry composition story. **Judge quality controls (Table 7):** Effect shrinks to insignificance when controlling for judge quality; industry differences would not predict this pattern.

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Table SA.21 continued.

Concern	Evidence Against This Concern
Firms near Delaware are in faster-growing or more urban areas with stronger labor markets.	**Table SA.7:** Results are robust to controlling for or dropping major-city counties (Philadelphia, Newark, Baltimore). **Table SA.18:** Results are robust to CSA-by-state fixed effects, comparing firms in tighter geographic areas. **ZIP-code placebo (Figure 1):** Never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show no differential employment dynamics. **Pre-trend placebo (Figure 1):** No differential pre-bankruptcy employment growth for firms near Delaware. **Within-court Delaware-like judge experiment (Section IV.A):** Random assignment to Delaware-like judges improves outcomes, independently confirming that court quality—not local labor markets—drives results.
Firms near Delaware are more financially sophisticated and better managed, improving outcomes independent of court.	**Figure SA.8 and Table SA.12:** Leverage, assets, and liabilities are conditionally uncorrelated with distance. **OLS vs. 2SLS:** OLS coefficients are near zero or negative, showing firms select into forum shopping when prospects are worst—the opposite of a sophistication story. **Pre-trend placebo (Figure 1):** No differential pre-bankruptcy employment trends for firms near Delaware. **ZIP-code placebo (Figure 1):** Never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show no differential dynamics. **Judge quality controls (Table 7):** Effect shrinks to insignificance with judge quality controls, inconsistent with firm sophistication driving results. **Table SA.8:** Results are robust to controlling for distance to New York City, a major financial center.

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Table SA.21 continued.

Concern	Evidence Against This Concern
Firms near Delaware file for bankruptcy earlier, when less distressed, making reorganization mechanically easier.	**Table SA.12 and Table SA.11:** Leverage, assets, and liabilities are conditionally uncorrelated with distance, even when controlling for exact financial values. **Table 4, cols. 3–4:** Results are robust to assets-by-liabilities-by-creditors fixed effects, comparing financially similar firms. **Pre-trend placebo (Figure 1):** No pre-bankruptcy employment differences, inconsistent with firms near Delaware being less distressed at filing. **Judge quality controls (Table 7):** Effect shrinks to insignificance when controlling for judge quality; a financial-health story would not predict this.
Firms near Delaware are more likely to already be incorporated in Delaware, making forum shopping easier and firms systematically different.	**Table SA.5:** Distance is uncorrelated with Delaware incorporation status, and results are robust to controlling for it. **Pre-trend placebo (Figure 1):** No pre-bankruptcy employment trends, inconsistent with incorporation-driven selection. **ZIP-code placebo (Figure 1):** Neighboring never-bankrupt firms show no differential trends. **Judge quality controls (Table 7):** Effect shrinks to insignificance when controlling for judge quality; incorporation status would not predict this pattern.
Firms near Delaware are more likely to already have a Delaware subsidiary, making forum shopping easier and firms inherently more diversified.	**Table SA.9:** Results are robust to controlling for prior Delaware establishment presence. **Pre-trend placebo (Figure 1):** No differential pre-bankruptcy employment trends. **ZIP-code placebo (Figure 1):** Never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show no differential dynamics. **Judge quality controls (Table 7):** Effect shrinks with judge quality controls, inconsistent with a diversified-operations story.

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Table SA.21 continued.

Concern	Evidence Against This Concern
Firms near Delaware are closer to New York's financial center, gaining better access to capital and sophisticated creditors.	**Table SA.8:** Results are robust to controlling for distance to New York City, a major financial center. **Table SA.3:** Relative-distance instrument (distance to Delaware minus distance to nearest home-court) yields similar results, purging financial-center proximity. **ZIP-code placebo (Figure 1):** Never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show no differential employment dynamics. **Pre-trend placebo (Figure 1):** No pre-bankruptcy employment differences. **Within-court Delaware-like judge experiment (Section IV.A):** Random assignment to Delaware-like judges improves outcomes, confirming that court quality—not creditor access—drives results.
Firms near Delaware had better pre-bankruptcy growth trends, violating the parallel-trends assumption.	**Pre-trend placebo (Figure 1):** The 2SLS estimate is economically and statistically insignificant for pre-bankruptcy employment changes ($t-3$ to $t-1$ and $t-2$ to $t-1$). **ZIP-code placebo (Figure 1):** Never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show near-zero 2SLS estimates at all horizons. **Within-court Delaware-like judge experiment (Section IV.A):** Random assignment to Delaware-like judges improves outcomes. This independent judge randomization result is not subject to pre-trend concerns and corroborates the 2SLS estimates.
Proximity to Delaware proxies for unobserved local economic conditions not captured by controls.	**Table SA.18:** CSA-by-state fixed effects compare firms in tight geographic clusters; results are unchanged. **ZIP-code placebo (Figure 1):** Same-ZIP never-bankrupt firms show no differential employment dynamics, ruling out local economic trends. **Pre-trend placebo (Figure 1):** No pre-bankruptcy employment differences. **Judge quality controls (Table 7):** Effect shrinks to insignificance with judge quality controls; a local-conditions story would not predict this.

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Table SA.21 continued.

Concern	Evidence Against This Concern
Proximity reduces managers' travel costs to attend hearings, increasing engagement—not court quality—that improves outcomes.	**Table SA.3:** Relative-distance instrument yields similar results; if travel costs mattered, absolute (not relative) distance should drive outcomes. **Judge quality controls (Table 7):** Effect shrinks to insignificance once judge quality is controlled for, inconsistent with a manager-engagement channel. **Within-court Delaware-like judge experiment (Section IV.A):** Random assignment to Delaware-like judges improves outcomes, ruling out travel costs as the mechanism. **Pre-trend placebo (Figure 1):** No differential pre-filing trends.
The results merely reflect that Delaware attracts firms already in better shape, not that the court itself improves outcomes.	**OLS vs. 2SLS:** OLS coefficients are near zero; firms select into forum shopping when prospects are worst, biasing OLS downward. **Within-court Delaware-like judge experiment (Section IV.A):** Random assignment to Delaware-like judges improves outcomes, a fully independent result corroborating the 2SLS. **Judge quality controls (Table 7):** The 2SLS effect shrinks to insignificance when controlling for judge quality, confirming the court mechanism rather than selection. **Pre-trend placebo (Figure 1):** No differential pre-bankruptcy trends.

This table summarizes potential threats to the exclusion restriction and the evidence against each threat. The exclusion restriction requires that, conditional on controls, distance to Delaware affects outcomes only through forum shopping. Recurring tests include: (i) *pre-trend placebo*—the 2SLS estimate is insignificant for pre-bankruptcy employment changes (Figure 1); (ii) *ZIP-code placebo*—never-bankrupt neighbors in the same ZIP codes as bankrupt establishments show no differential employment dynamics (Figure 1); and (iii) *judge quality controls*—the effect of filing in Delaware shrinks to insignificance when controlling for a proxy for judge quality (Table 7).

D Alternative Recovery Measurement Approaches

In the main text, we show that forum shopping increases unsecured creditor recovery. This result is based on a 2SLS regression in which the outcome is an indicator equal to one if unsecured creditors receive any recovery. We obtain this indicator from the Federal Judicial Center (FJC). The variable, asstcase, classifies cases as asset cases (i.e., those with positive unsecured recovery) as of the latest FJC snapshot.

In this appendix, we show that this result is robust to alternative measures of unsecured recovery. We do so in two ways. First, we use data from PACER, rather than the FJC, to classify cases as asset cases. Specifically, we use the asset-case designation reported on each case's docket. PACER data are available only for a subset of cases, which reduces the sample size. Nonetheless, estimating equation (4) by 2SLS with this PACER-based indicator yields similar results: forum shopping increases the likelihood of positive unsecured creditor recovery. Table SA.22 reports these estimates. The difference in magnitude relative to the main-text results likely reflects the different sample for which PACER data are available. Consistent with this, in the subsample where both PACER and FJC measures are observed, they agree in 96% of cases. Overall, the results are robust to using recovery data directly from PACER.

Second, we verify that the asset-case indicator correctly captures positive unsecured recovery. We randomly select 20 cases from the main regression sample: 10 with a PACER asset flag equal to one and 10 with a flag equal to zero. We focus on Delaware cases, where we have broader access to bankruptcy documents. For each case, we determine unsecured recovery using a multi-step approach. If the case is converted to Chapter 7, we examine either the final trustee report, which lists distributions to unsecured creditors, or a report of no distribution, which implies zero recovery (Antill, 2024). If the case is not converted to Chapter 7, we use the final disclosure statement to measure recovery under the plan of reorganization. This "plan recovery" measure is also used in Hotchkiss, Iverson, and Zheng (2026) and Hüther and Kleiner (2022). We code an indicator equal to one if the plan allocates any positive recovery to unsecured creditors.

In all 20 cases, the PACER and FJC indicators agree. Comparing either measure to the manual coding, both correctly identify positive recovery in 95% of cases. This evidence indicates that the asset-case indicator closely aligns with actual unsecured creditor recovery as reported in trustee reports or disclosure statements.

Table SA.22: Alternative Recovery Outcome Variable

This table replicates the 2SLS recovery regression from column3 of Table 5 using an alternative measure of unsecured creditor recovery obtained directly from PACER, rather than from the FJC. Each observation is a bankruptcy. The outcome is an indicator equal to one if the case is designated an asset case on the PACER docket report, corresponding to strictly positive unsecured creditor recovery. The sample is limited to cases for which PACER asset-case data are available. We include headquarter-state-by-filing-year fixed effects, county-year proxies for economic activity, and interacted fixed effects for firm financial variables. Standard errors are clustered at the headquarter-ZIP-code-by-filing-year level. *, **, and *** indicate significance at the 10%, 5%, and 1% level, respectively.

	Positive Unsecured Recovery (PACER)
	(1)
File in DE	0.1746**
	(0.0762)
State X Year FE	Y
Controls	Y
Assets X Liab X Creditors FE	Y
Observations	7,577
First Stage Instrument F-Stat	43.38